# CORBY SPIRIT AND WINE LIMITED

CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEARS ENDED JUNE 30, 2025 AND 2024

2025

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# INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Corby Spirit and Wine Limited

## *Opinion*

We have audited the consolidated financial statements of Corby Spirit and Wine Limited (the Entity), which comprise:

- the consolidated balance sheets as at June 30, 2025 and June 30, 2024
- the consolidated statements of earnings for the years then ended
- the consolidated statements of comprehensive income for the years then ended
- the consolidated statements of changes in shareholders' equity for the years then ended
- the consolidated statements of cash flows for the years then ended
- and notes to the consolidated financial statements, including a summary of material accounting policy information

(Hereinafter referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the consolidated financial position of the Entity as at June 30, 2025 and June 30, 2024, and its consolidated financial performance and its consolidated cash flows for the years then ended in accordance with IFRS Accounting Standards.

## *Basis for Opinion*

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the ***"Auditor's Responsibilities for the Audit of the Financial Statements"*** section of our auditor's report.

We are independent of the Entity in accordance with the ethical requirements that are relevant to our audit of the financial statements in Canada and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

KPMG LLP, an Ontario limited liability partnership and member firm of the KPMG global organization of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee. KPMG Canada provides services to KPMG LLP.

***Key Audit Matters***

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements for the year ended June 30, 2025. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have determined the matters described below to be the key audit matters to be communicated in our auditor's report.

***Evaluation of impairment of goodwill and indefinite-life intangible assets***

***Description of the matter***

We draw attention to notes 2(i), 4 and 15 to the financial statements. For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or cash generating units ("CGUs"). Goodwill and indefinite-life intangible assets are tested for impairment at least annually and whenever there is an indication that the asset may be impaired. When the recoverable amount of a CGU is less than its carrying amount, an impairment loss is recognized within earnings from operations. The recoverable amount of the CGU is the higher of its fair value less costs to sell and its value in use, which involves estimating future cash flows before taxes. The process of determining the recoverable amount requires the Entity to make estimates and assumptions of a long-term nature regarding forecasted revenues, discount rates, and terminal growth rates.

***Why the matter is a key audit matter***

We identified the evaluation of impairment of goodwill and indefinite-life intangible assets as a key audit matter. This matter represented a significant risk of material misstatement given the magnitude of goodwill and indefinite life intangible assets and the high degree of estimation uncertainty in assessing the assumptions used to determine the recoverable amounts. Significant auditor judgment and the involvement of professionals with specialized skills and knowledge was required to evaluate the results of our audit procedures.

***How the matter was addressed in the audit***

The primary procedures we performed to address this key audit matter included the following:

We evaluated the Entity's ability to accurately forecast revenue by comparing actual results to historical revenue forecasts. We also took into account historical actual results and industry data, to assess adjustments or lack of adjustments to the forecasted revenues.

We involved valuation professionals with specialized skills and knowledge, who assisted in the following:

- Evaluating the appropriateness of the Entity's discount rates against discount rate ranges that are independently developed using publicly available market data for comparable companies; and
- Evaluating the appropriateness of the terminal growth rates by comparing the growth profile of the group of CGUs and overall macroeconomic conditions.

***Other Information***

Management is responsible for the other information. Other information comprises:

- the information included in Management's Discussion and Analysis filed with the relevant Canadian Securities Commissions.

- the information, other than the financial statements and the auditor's report thereon, included in a document likely to be entitled "2025 Annual Report".

Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit and remain alert for indications that the other information appears to be materially misstated.

We obtained the information included in Management's Discussion and Analysis filed with the relevant Canadian Securities Commissions as at the date of this auditor's report. If, based on the work we have performed on this other information, we conclude that there is a material misstatement of this other information, we are required to report that fact in the auditor's report.

We have nothing to report in this regard.

The information, other than the financial statements and the auditor's report thereon, included in a document likely to be entitled "2025 Annual Report" is expected to be made available to us after the date of this auditor's report. If, based on the work we will perform on this other information, we conclude that there is a material misstatement of this other information, we are required to report that fact to those charged with governance.

***Responsibilities of Management and Those Charged with Governance for the Financial Statements***

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Entity's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Entity or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Entity's financial reporting process.

***Auditor's Responsibilities for the Audit of the Financial Statements***

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit.

We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion.

  The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Entity's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Entity's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Entity to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

- Provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.

- Determine, from the matters communicated with those charged with governance, those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our auditor's report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

KPMG LLP

Chartered Professional Accountants, Licensed Public Accountants

The engagement partner on the audit resulting in this auditor's report is Bryant William Ramdoo.

Vaughan, Canada

August 20, 2025

# CORBY SPIRIT AND WINE LIMITED

## CONSOLIDATED BALANCE SHEETS

*for the years ended June 30, 2025 and 2024*

*(in thousands of Canadian dollars)*

| *As at* | Notes | | **June 30, 2025** | | June 30, 2024 |
|---|---|---|---|---|---|
| **ASSETS** | | | | | |
| Cash | | **$** | **179** | $ | 4,648 |
| Deposits in cash management pools | | | **15,756** | | 27,352 |
| Accounts receivable | 8 | | **55,085** | | 48,629 |
| Income taxes recoverable | | | **-** | | 2,892 |
| Inventories | 9 | | **101,457** | | 94,728 |
| Prepaid expenses | | | **574** | | 1,061 |
| **Total current assets** | | | **173,051** | | 179,310 |
| Other assets | 10 | | **7,143** | | 8,015 |
| Deferred income tax assets | 19 | | **1,158** | | - |
| Right-of-use assets | 11 | | **3,532** | | 2,942 |
| Property, plant and equipment | 12 | | **20,867** | | 21,908 |
| Goodwill | 13 | | **116,962** | | 117,351 |
| Intangible assets | 14 | | **80,095** | | 90,952 |
| **Total assets** | | **$** | **402,808** | $ | 420,478 |
| **LIABILITIES** | | | | | |
| Bank indebtedness | 16 | **$** | **3,477** | **$** | **-** |
| Accounts payable and accrued liabilities | 17 | | **64,049** | | 57,441 |
| Income and other taxes payable | | | **2,403** | | - |
| Credit facilities payable | 16 | | **1,505** | | 17,816 |
| Current lease liabilities | 11 | | **1,688** | | 1,419 |
| **Total current liabilities** | | | **73,122** | | 76,676 |
| Provision for employee benefits | 10 | | **6,122** | | 6,824 |
| Long-term debt | 18 | | **102,000** | | 120,000 |
| Deferred income tax liabilities | 19 | | **18,082** | | 17,571 |
| Long-term lease liabilities | 11 | | **1,918** | | 1,600 |
| Non-controlling interest obligation | 20 | | **18,232** | | 16,206 |
| **Total liabilities** | | | **219,476** | | 238,877 |
| **Shareholders' equity** | | | | | |
| Share capital | 21 | | **14,304** | | 14,304 |
| Accumulated other comprehensive income | 22 | | **8,374** | | 8,448 |
| Retained earnings | | | **160,654** | | 158,849 |
| **Total equity** | | | **183,332** | | 181,601 |
| **Total liabilities and shareholders' equity** | | **$** | **402,808** | $ | 420,478 |

The accompanying notes are an integral part of these consolidated financial statements.

# CORBY SPIRIT AND WINE LIMITED

## CONSOLIDATED STATEMENTS OF EARNINGS

*for the years ended June 30, 2025 and 2024*

*(in thousands of Canadian dollars, except per share amounts)*

| | Notes | **June 30, 2025** | June 30, 2024 |
|---|---|---|---|
| **Revenue** | 23 | **$ 246,786** | $ 229,659 |
| Cost of sales | | **(123,785)** | (113,887) |
| Marketing, sales and administration | | **(77,032)** | (75,213) |
| Other income | 24 | **167** | 177 |
| **Earnings from operations** | | **46,136** | 40,736 |
| Financial income | 25 | **995** | 1,273 |
| Financial expense | 25 | **(9,016)** | (9,113) |
| | | **(8,021)** | (7,840) |
| **Earnings before income taxes** | | **38,115** | 32,896 |
| Current income taxes | 19 | **(11,309)** | (7,245) |
| Deferred income tax recovery (expense) | 19 | **621** | (1,742) |
| Income taxes | | **(10,688)** | (8,987) |
| **Net earnings** | | **$ 27,427** | $ 23,909 |
| **Basic earnings attributable to each share** | 26 | **$ 0.96** | $ 0.84 |
| **Diluted earnings attributable to each share** | 26 | **$ 0.96** | $ 0.84 |
| **Weighted average common shares outstanding** | | | |
| Basic | | **28,468,856** | 28,468,856 |
| Diluted | | **28,468,856** | 28,468,856 |

The accompanying notes are an integral part of these consolidated financial statements.

# CORBY SPIRIT AND WINE LIMITED

## CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

*for the years ended June 30, 2025 and 2024*
*(in thousands of Canadian dollars)*

| | Notes | **June 30, 2025** | June 30, 2024 |
|---|---|---|---|
| **Net earnings** | | **$ 27,427** | $ 23,909 |
| **Other comprehensive income:** | | | |
| Amounts that will not be subsequently reclassified to earnings: | | | |
| Net actuarial (losses) gains | 10 | **(100)** | 2,187 |
| Income tax recovery (expense) | 19 | **26** | (576) |
| | | **(74)** | 1,611 |
| **Total comprehensive income** | | **$ 27,353** | $ 25,520 |

## CONSOLIDATED STATEMENTS OF CHANGES IN SHAREHOLDERS' EQUITY

*for the years ended June 30, 2025 and 2024*
*(in thousands of Canadian dollars)*

| | Share Capital | Accumulated Other Comprehensive Income | Retained Earnings | Total |
|---|---|---|---|---|
| Balance as at June 30, 2024 | $ 14,304 | $ 8,448 | $ 158,849 | $ 181,601 |
| Total comprehensive income (loss) | - | (74) | 27,427 | 27,353 |
| Dividends | - | - | (25,622) | (25,622) |
| **Balance as at June 30, 2025** | **$ 14,304** | **$ 8,374** | **$ 160,654** | **$ 183,332** |
| Balance as at June 30, 2023 | $ 14,304 | $ 5,127 | $ 160,564 | $ 179,995 |
| Total comprehensive income | - | 1,611 | 23,909 | 25,520 |
| Exercise of option to convert buy-in to buy-out annuity relating to the Company's defined benefit pension plan | - | 1,710 | (1,710) | - |
| Dividends | - | - | (23,914) | (23,914) |
| **Balance as at June 30, 2024** | $ 14,304 | $ 8,448 | $ 158,849 | $ 181,601 |

The accompanying notes are an integral part of these consolidated financial statements.

# CORBY SPIRIT AND WINE LIMITED

## CONSOLIDATED STATEMENTS OF CASH FLOWS

*for the years ended June 30, 2025 and 2024*

*(in thousands of Canadian dollars)*

| | | *For the Year Ended* | |
|---|---|---|---|
| | Notes | **June 30, 2025** | June 30, 2024 |
| **Operating activities** | | | |
| Net earnings | | **$ 27,427** | $ 23,909 |
| Adjustments for: | | | |
| Amortization and depreciation | 27 | **16,278** | 15,443 |
| Net financial expense | 25 | **8,021** | 7,840 |
| Loss on disposal of property and equipment | | **25** | 39 |
| Income tax expense | 19 | **10,688** | 8,987 |
| Provision for employee benefits | | **(80)** | (322) |
| | | **62,359** | 55,896 |
| Net change in non-cash working capital balances | 29 | **(5,726)** | (7,130) |
| Interest paid | | **(6,854)** | (7,086) |
| Interest received | | **1,008** | 1,273 |
| Income taxes paid | | **(6,014)** | (11,436) |
| **Net cash from operating activities** | | **44,773** | 31,517 |
| **Investing activities** | | | |
| Additions to property and equipment | 12 | **(2,229)** | (2,713) |
| Additions to intangible assets | 14 | **(210)** | (566) |
| Business acquisitions | 7 | **-** | (148,120) |
| Withdrawals from cash management pools | | **11,596** | 127,662 |
| **Net cash from (used in) investing activities** | | **9,157** | (23,737) |
| **Financing activities** | | | |
| Proceeds from long-term debt | | **-** | 22,000 |
| Repayment of long-term debt | 18 | **(18,000)** | - |
| Payment of lease liabilities | | **(1,943)** | (1,403) |
| (Repayments of)/draws on credit facilities payable | 16 | **(16,311)** | 9,816 |
| Draws on bank debt | | **3,477** | - |
| Repayment of bank debt | | **-** | (9,631) |
| Dividends paid | | **(25,622)** | (23,914) |
| **Net cash used in financing activities** | | **(58,399)** | (3,132) |
| **Net change in cash** | | **(4,469)** | 4,648 |
| Cash, beginning of the year | | **4,648** | - |
| **Cash, end of the year** | | **$ 179** | $ 4,648 |

The accompanying notes are an integral part of these consolidated financial statements.

### 1. GENERAL INFORMATION

Corby Spirit and Wine Limited ("Corby" or the "Company") is a leading Canadian manufacturer, marketer and importer of spirits, wines and ready-to-drink cocktails. The Company derives its revenues from the sale of its owned-brands in Canada and other international markets, as well as earning commissions from the representation of selected non-owned brands in the Canadian market. Revenues predominantly consist of sales made to each of the provincial liquor boards in Canada. The Company also supplements these primary sources of revenue with other ancillary activities incidental to its core business, such as logistics fees.

Corby is controlled by Hiram Walker & Sons Limited ("HWSL"), which is a wholly-owned subsidiary of Pernod Ricard, S.A. ("PR"), a French public limited company that controls 51.6% of the outstanding Voting Class A Common Shares of Corby as at June 30, 2025.

Corby is a public company incorporated and domiciled in Canada, whose shares are traded on the Toronto Stock Exchange. The Company's registered address is 225 King Street West, Suite 1100, Toronto, ON M5V 3M2.

### 2. BASIS OF PREPARATION

***Statement of Compliance***
These consolidated financial statements have been prepared in accordance with IFRS Accounting Standards ("IFRS") and using the accounting policies described herein.

These consolidated financial statements were approved by the Company's Board of Directors on August 20, 2025.

***Functional and Presentation Currency***
The Company's consolidated financial statements are presented in Canadian dollars, which is the Company's functional and presentation currency.

***Foreign Currency Translation***
Transactions denominated in foreign currencies are translated into the functional currency using the exchange rate applicable at the transaction date. Non-monetary assets and liabilities denominated in foreign currencies are recognized at the historical exchange rate applicable at the transaction date. Monetary assets and liabilities denominated in foreign currencies are translated at the exchange rate applicable at the balance sheet date. Foreign currency differences related to operating activities are recognized in earnings from operations for the year.

***Basis of Measurement***
These consolidated financial statements are prepared in accordance with the historical cost model, except for certain categories of assets and liabilities, which are measured in accordance with other methods proscribed by IFRS as explained in the accounting policies below. Historical cost is generally based on the fair value of the consideration given in exchange for assets.

***Use of Estimates and Judgments***
The preparation of the consolidated financial statements in conformity with IFRS requires management to make certain judgments, estimates and assumptions that affect the application of accounting policies, the reported amounts of assets and liabilities, disclosure of contingent assets and liabilities at the date of the consolidated financial statements, and the reported amounts of revenues and expenses during the reporting period.

Judgment is commonly used in determining whether a balance or transaction should be recognized in the consolidated financial statements and estimates, and assumptions are more commonly used in determining the measurement of recognized transactions and balances. However, judgment and estimates are often interrelated.

Estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Estimates are made on the assumption the Company will continue as a going concern and are based on information available at the time of preparation. Estimates may be revised where the circumstance on which they were based change or where new information becomes available. Future outcomes can differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Critical judgments, estimates and assumptions are used in applying accounting policies and have the most significant effect on the following:

*(i) Impairment*

The Company uses judgment in determining the grouping of assets to identify its Cash-Generating Units ("CGUs") for purposes of testing for impairment of goodwill, intangible assets and property, plant and equipment. A CGU is defined as the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets. CGUs to which goodwill has been allocated are aggregated so that the level at which impairment testing is performed reflects the lowest level at which goodwill is monitored for internal management purposes.

Intangible assets and property, plant and equipment are subject to impairment tests whenever there is an indication that the value of the asset has been impaired and at least once a year for non-current assets with indefinite useful lives (goodwill, trademarks and licences, and distribution rights). Judgment has been used in determining whether there has been an indication of impairment.

The Company uses estimates to determine a CGU's or group of CGUs' recoverable amount based on the higher of fair value less costs to sell and value in use ("VIU"), which involves estimating future cash flows before taxes. The process of determining the recoverable amount requires the Company to make estimates and assumptions of a long-term nature regarding discount rates, projected revenues and terminal growth rates, as applicable, derived from past experience, actual operating results and budgets. These estimates and assumptions may change in the future due to uncertain competitive and economic market conditions or changes in business strategies.

*(ii) Business combinations*

Business combinations are accounted for using the acquisition method of accounting. The Company determines the fair value of the identifiable assets acquired and the liabilities assumed using income approach valuation techniques corroborated by other valuation techniques. The process of determining these fair values requires the Company to make estimates and assumptions of a long-term nature regarding discount rates, projected revenues, royalty rates and margins derived from past experience, actual operating results and budgets. These estimates and assumptions may change in the future due to uncertain competitive and economic market conditions or changes in business strategies.

*(iii) Income and other taxes*

In calculating current and deferred income and other taxes, the Company uses judgment when interpreting the tax rules in jurisdictions where the Company operates. The Company also uses judgment in classifying transactions and assessing probable outcomes of claimed deductions, which considers expectations of future operating results, the timing and reversal of temporary differences, and possible audits of income tax and other tax filings by tax authorities.

Deferred income tax assets require judgment in order to determine the amounts to be recognized. This includes assessing the timing of the reversal of temporary differences to which deferred income tax rates are applied.

*(iv) Post-employment benefits*

The accounting for the Company's post-employment benefit plans requires the use of estimates and assumptions. The accrued benefit liability is calculated using actuarial determined data and the Company's best estimates of

future salary escalations, retirement ages of employees, employee turnover, mortality rates, market discount rates, and expected health and dental care costs.

*(v) Non-controlling interest obligation*

The non-controlling interest obligation ("NCI") involves uncertainty in estimating the underlying future cash flows related to the obligation, their expected fluctuations and timing, on a recurring basis. Accretion of the non-controlling interest obligation is recorded as interest in financial expense on the statement of earnings.

*(vi) Other*

Other estimates include determining the useful lives of property, plant and equipment and intangible assets for the purpose of depreciation and amortization, as well as measuring items such as allowances for uncollectible accounts receivable, the fair value of grapes at time of harvest, and inventory obsolescence and certain fair value measures including those related to the valuation of share-based payments and financial instruments.

## 3. ADOPTION OF NEW AND REVISED STANDARDS AND INTERPRETATIONS

***Recent accounting pronouncements***

A number of new standards, amendments to standards and interpretations are effective for the financial year ended June 30, 2025, and accordingly, have been applied in preparing these consolidated financial statements:

*a) IAS 1, Presentation of Financial Statements*

In January 2020, the IASB issued an amendment to IAS 1, "Presentation of Financial Statements" ("IAS 1"). The amendment clarifies the classification of liabilities as current or non-current depending on the rights that exist at the end of the reporting period. The amendment also clarifies the meaning of settlement of a liability. Furthermore the amendment specifies that covenants whose compliance is assessed after the reporting date do not affect the classification of debt as current or non-current at the reporting date. Instead, the entity is required to disclose information about these covenants in the notes to the financial statements. This amendment is effective for annual periods beginning on or after January 1, 2024. For Corby, the amendment became effective July 1, 2024 and did not have a significant impact on the Company's financial statements and disclosures.

The following standards and amendments to standards are also effective for the financial reporting year but were not applicable to Corby:

| New or Revised Pronouncement | | Effective Date | Company Effective Date |
|---|---|---|---|
| Amendments to IAS 7 & IFRS 7 | *Supplier financing arrangements* | January 1, 2024 | July 1, 2024 |
| Amendments to IFRS 16 | *Lease liability in a sale and leaseback* | January 1, 2024 | July 1, 2024 |

**Recent accounting pronouncements not in effect**

The below standards and amendments to standards have been issued but are not yet effective for the fiscal year ending June 30, 2025, and accordingly, have not been applied in preparing these consolidated financial statements:

*a) IFRS 18, Presentation and Disclosure in Financial Statements*

In April 2024, the IASB issued a new standard IFRS 18 "Presentation and Disclosure in Financial Statements" that will replace IAS 1 "Presentation of Financial Statements". This new standard introduces newly defined subtotals on the statement of earnings, new requirements for classification of information, and disclosure of Management Performance Measures in the financial statements. This new standard is effective for annual reporting periods beginning on or after January 1, 2027. For Corby, the amendment will become effective July 1, 2027. The Company is currently assessing the impacts that the new standard will have on its financial statements and disclosures.

Other upcoming standards and amendments to standards that are not expected to have an impact on the Company's disclosures and financial results are as follows:

| New or Revised Pronouncement | | Effective Date | Company Effective Date |
|---|---|---|---|
| Amendments to IAS 21 | *Lack of exchangeability of currencies* | January 1, 2025 | July 1, 2025 |
| Amendments to IFRS 9 and IFRS 7 | *Classification and measurement of financial instruments* | January 1, 2026 | July 1, 2026 |
| Amendments to IFRS 9 and IFRS 7 | *Power purchase arrangements* | January 1, 2026 | July 1, 2026 |
| IFRS 19 | *Subsidiaries without public accountability: disclosures* | January 1, 2027 | July 1, 2027 |

## 4. MATERIAL ACCOUNTING POLICIES

The accounting policies set out below, have been applied consistently to all years presented in these consolidated financial statements.

***Basis of Consolidation***
The consolidated financial statements include the accounts of Corby Spirit and Wine Limited and its subsidiaries, collectively referred to as "Corby" or the "Company."

The following list outlines, as of June 30, 2025, each of Corby's material subsidiaries:

| ***Name*** | ***Governing Jurisdiction*** | ***Ownership Percentage*** |
|---|---|---|
| Ace Beverage Holdco Inc. | Canada | 90% |
| Ace Beverage Group Inc. | Canada | 90% |
| The Foreign Affair Winery Limited | Canada | 100% |
| Ungava Spirits Co. Ltd. | Canada | 100% |

Subsidiaries are entities controlled by the Company. Control exists where the Company has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities. The financial statements of subsidiaries are included in the Company's consolidated financial statements from the date that the control commences until the date that control ceases.

Intra-company balances and transactions and any unrealized income and expenses arising from intra-company transactions are eliminated in preparing the consolidated financial statements.

***Cash***
Cash represents cash in bank.

***Deposits in Cash Management Pools***
Corby participates in a cash pooling arrangement under a Mirror Netting Services Agreement together with PR's other Canadian affiliates, the terms of which are administered by Citibank N.A. The Mirror Netting Services Agreement acts to aggregate each participant's net cash balance for the purposes of having a centralized cash management function for all of PR's Canadian affiliates, including Corby.

Corby accesses these funds daily and has the contractual right to withdraw these funds or terminate these cash management arrangements upon providing five days' written notice.

***Inventories***
Inventories are measured at the lower of cost (acquisition cost and cost of production, including indirect production overheads) and net realizable value. Net realizable value is the selling price less the estimated cost of completion and sale of the inventories. Most inventories are valued using the average cost method. The cost of long-cycle inventories is calculated using a single method, which includes distilling and ageing maturing costs but excludes finance costs. These inventories are classified in current assets, although a substantial part remains in inventory for more than one year before being sold in order to undergo the ageing maturing process used for certain spirits. Grapes produced from vineyards controlled by the Company that are part of inventory are measured at their fair value less costs to sell at the point of harvest. Inventory of wine that is produced by the Company is valued at the lower of cost and net realizable value, with cost being determined on an average cost basis. Inventory of bulk wine and grapes is included in work-in-progress inventory.

***Property, Plant and Equipment***
Property, plant and equipment are recognized at acquisition cost and broken down by component. Cost includes expenditures that are directly attributable to the acquisition of the asset.

Depreciation is calculated on a straight-line basis over the estimated useful life of the assets. Useful life and depreciation methods are reviewed at each reporting date. Items of property, plant and equipment are written down when impaired.

The ranges of depreciable lives for the major categories of property, plant and equipment are as follows:

| | |
|---|---|
| Building | 25 to 40 years |
| Leasehold improvements | Shorter of term of lease or estimated useful life |
| Machinery and equipment | 3 to 12 years |
| Casks | 12 years |
| Vines | 30 years |

Depreciation of property, plant and equipment is recognized within earnings from operations. The Company commences recognition of depreciation in earnings when the item of property, plant and equipment is ready for its intended use.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognized net, within earnings from operations.

Fully depreciated items of property, plant and equipment that are still in use continue to be recognized in cost and accumulated depreciation.

The cost of replacing part of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The carrying amount of the replaced part is derecognized. The costs of repairs and maintenance of property, plant and equipment are recognized in earnings from operations as incurred.

***Leases***
The Company leases certain premises and equipment. Terms vary in length and typically permit renewal for additional periods. At the inception of a contract, the Company assesses whether a contract contains a lease. The Company recognizes a right-of-use asset and a corresponding lease liability with respect to all lease agreements unless the lease term is 12 months or less or the underlying asset has a low value. For these leases, the Company recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease.

A lease liability is recognized at the present value of the remaining future lease payments, discounted using the interest rate implicit in the lease at the date of initial application. If this rate cannot be determined, the Company uses its incremental borrowing rate. The incremental borrowing rate is defined as the rate of interest that the Company would have to pay to borrow, over a similar term and with a similar security, the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment.

Lease payments included in the measurement of the lease liability comprise:

- fixed lease payment, less any lease incentives;
- variable lease payments that depend on an index or rate, initially measured using the index or rate at the commencement date;
- the amount expected to be payable by the Company under residual value guarantees;
- the exercise of purchase options, if the Company is reasonably certain to exercise the options; and
- payments of penalties for terminating the lease, if the lease term reflects the exercise of an option to terminate the lease

Lease liabilities are remeasured if there is a change in management's assessment of whether it will exercise a renewal or termination option or if there is a change in the future lease payments. The lease liability is

subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect lease payments made.

Right-of-use assets are measured at the initial amount of the lease liabilities plus any initial direct costs, lease payments made at or before the commencement date net of lease incentives received, and decommissioning costs. Subsequent to initial measurement, the right-of-use assets will be measured at cost and depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. Right-of-use assets are reviewed at each balance sheet date to determine whether there is any indication of impairment.

***Business Combinations***
The Company applies the acquisition method in accounting for business combinations. The cost of an acquisition is the aggregate of the consideration transferred, measured at the acquisition date fair value. Acquisition related costs are expensed as incurred.

Goodwill represents the excess of the fair value of consideration transferred and any future obligations over the fair value of identifiable assets acquired and liabilities assumed in business combinations, all measured at fair value.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Company reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period (not greater than one year from acquisition date) to reflect new information about facts and circumstances that existed at the acquisition date that, if known, would have affected the amounts recognized at that time.

***Goodwill***
Goodwill arising in a business combination is recognized as an asset at the date that control is acquired. Goodwill is measured as the excess of the sum of the fair value of the consideration transferred and any future obligations over the fair value of the identifiable assets acquired less the fair value of the liabilities assumed. Goodwill is tested for impairment at least annually and whenever there is an indication that the asset may be impaired.

Goodwill is measured at cost less any accumulated impairment losses.

***Intangible Assets***
Intangible assets include the following:

*(i) Long-term Representation Rights*
Long-term representation rights represent the cost of the Company's exclusive right to represent PR's brands in Canada. These representation rights are carried at cost, less accumulated amortization. Amortization is provided for on a straight-line basis, over the term of their respective agreements. Representation rights were scheduled to expire on September 30, 2021. On September 24, 2020, Corby renewed its exclusive right to represent PR's brands in Canada for a further five years and three months, effective July 1, 2021 until September 29, 2026, with a potential for automatic renewal for a further three years thereafter, subject to the achievement of performance criteria. The agreement required a payment of an up-front fee of $54.5 million which was paid September 28, 2021, which Corby funded through its deposits in cash management pools. See Note 31, "Related Party Transactions" for further information. Amortization is recognized as a reduction to commission revenue earned from the representation of PR brands.

*(ii) Trademarks and licences*
Trademarks and licences represent the value of trademarks and licences of businesses acquired and are measured at cost on initial recognition. These intangible assets are deemed to have an indefinite life and are, therefore, not amortized. Trademarks and licences are tested for impairment on an annual basis or more frequently if events or changes in circumstances indicate that the assets might be impaired.

*(iii) Software*
Software is carried at cost, less accumulated amortization. Amortization is recognized on a straight-line basis over the expected useful life which is typically 3-5 years and recorded within "Marketing, sales and administration" in

the statement of earnings. Useful life for items included in software is reviewed on an annual basis and software is written down when no longer in use.

*(iv) Distribution rights*

Distribution rights represent the right to sell specified products in a certain territory. Acquired distribution rights are measured initially at cost or fair value. These intangible assets are deemed to have an indefinite life and are, therefore, not amortized. Distribution rights are reviewed on an annual basis or more frequently if events or changes in circumstances indicate that the assets might be impaired.

***Impairment***

*(i) Financial Assets*

A financial asset is assessed at each reporting date to determine whether there is any objective evidence that it is impaired. A financial asset is considered to be impaired if objective evidence indicates that one or more events have occurred that have had a negative effect on the estimated future cash flows of that asset.

Objective evidence that a financial asset is impaired includes, but is not limited to, default or delinquency by a debtor, restructuring of an amount due to the Company on terms the Company would not consider otherwise, indicators the debtor will enter bankruptcy, or adverse changes in the status of the debtor's economic conditions.

An impairment loss in respect of a financial asset measured at amortized cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows, discounted at the original effective interest rate.

Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics.

All impairment losses are recognized in net earnings.

An impairment loss is reversed if the reversal can be objectively related to an event occurring after the impairment loss was recognized. For financial assets measured at amortized cost, the reversal is recognized in earnings.

*(ii) Non-financial assets*

The carrying amounts of the Company's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indications exist, the asset's recoverable amount is estimated.

Intangible assets and property, plant and equipment are subject to impairment tests whenever there is an indication that the value of the asset has been impaired and at least once a year for non-current assets with indefinite useful lives (goodwill, trademarks and licences and distribution rights).

Assets subject to impairment tests are included in CGUs, corresponding to linked groups of assets, which generate identifiable cash flows. For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or CGUs. CGUs to which goodwill has been allocated are aggregated so that the level at which impairment testing is performed reflects the lowest level at which goodwill is monitored for internal management purposes. When the recoverable amount of a CGU is less than its carrying amount, an impairment loss is recognized within earnings from operations. The recoverable amount of the CGU is the higher of its fair value less costs to sell and its value in use.

In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU. Projected cash flows are discounted to present based on annual budgets and four year projections for each market and brand. The calculation includes a terminal value derived by capitalizing the cash flows generated in the last forecasted year. Assumptions applied to sales and advertising spending are determined by management

based on previous results and long-term development trends in the markets concerned. The present values of discounted cash flows are sensitive to these assumptions as well as to consumer trends and economic factors.

Fair value is based either on the sale price, net of selling costs, obtained under normal market conditions or earnings multiples observed in recent transactions concerning similar assets.

Impairment losses are recognized in the statement of earnings. Impairment losses recognized in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the CGU and then to reduce the carrying amounts of the other assets in the CGU on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. With respect to other assets, impairment losses recognized in prior periods are assessed at each reporting date for any indicators that the impairment loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the carrying amount of the assets does not exceed the carrying amount that would have been determined, net of depreciation and amortization, if no impairment loss had been recognized.

***Provisions***

Provisions are recognized when there is a present legal or constructive obligation as a result of a past event, it is probable that an outflow of economic benefits will be required to settle the obligation and that the obligation can be measured reliably. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects the risk specific to the liability. Provisions are reviewed on a regular basis and adjusted to reflect management's best current estimates. Due to the judgmental nature of these items, future settlements may differ from amounts recognized. Provisions notably include: provisions for employee benefits (Note 10) and provisions for uncertain tax positions (Note 19).

***Employee Benefits***

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. The Company recognizes a liability and an expense for short-term benefits such as bonuses if the Company has a present legal obligation or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be reasonably estimated.

The Company maintains registered defined benefit pension plans under which benefits are available to certain employee groups. The Company makes supplementary retirement benefits available to certain employees under a non-registered defined benefit pension plan. The registered and non-registered defined benefit pension plans were closed to new members effective July 1, 2010. The Company provides a defined contribution plan for employees hired after July 1, 2010.

*(i) Defined Benefit Plans*

For defined benefit plans, the cost of providing benefits is determined using the projected unit credit method. The measurement is made at each balance sheet date and the personnel data concerning employees is revised at least every three years. Remeasurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling (if applicable) and the return on plan assets (excluding interest), is reflected immediately in the consolidated balance sheet with a charge or credit recognized in other comprehensive income or loss in the period in which they occur. Remeasurement recognized in other comprehensive income is reflected immediately in retained earnings and will not be reclassified to net earnings. Past service cost is recognized in net earnings in the period of a plan amendment. Net interest is calculated by applying the discount rate at the beginning of the period to the net defined benefit liability or asset.

Defined benefit costs are categorized as follows:

- Service costs (including current service costs, past service costs and gains and losses on curtailments and settlements)
- Net interest expense or income
- Remeasurement gains or losses

Service costs are presented in marketing, sales and administration in the consolidated statement of earnings. Curtailment gains and losses, when they occur, are accounted for as past service costs. Net interest cost is included in net financial income and expenses. Remeasurement gains or losses are included in other comprehensive income.

The provision for employee benefits recognized in the balance sheet represents the actual deficit in the Company's defined benefit plans. Any surplus resulting from this calculation is limited to the present value of any economic benefits available in the form of refunds from the plans or reductions in future contributions to the plans. A defined benefit plan in a surplus position is included in Other assets.

*(ii) Defined contribution plans*

Contributions are recognized as expenses when the employees have rendered services. As the Company is not committed beyond the amount of such contributions, no provision is recognized in respect of defined contribution plans.

*(iii) Termination benefits*

A liability for a termination benefit is recognized at the earlier of when the entity can no longer withdraw the offer of the termination benefit and when the entity recognizes any related restructuring costs. Expense for termination benefits are recognized in earnings from operations in the period in which they occur.

***Income Taxes***

Income tax expense comprises current and deferred income tax. Income tax expense is recognized in net earnings except to the extent that it relates to items recognized either in other comprehensive income or loss or directly in equity, in which case it is recognized in other comprehensive income or in equity, respectively.

Current income tax expense comprises the tax payable on the taxable income for the current financial year using tax rates enacted or substantively enacted at the reporting date, and any adjustment to income taxes payable in respect of previous years.

Deferred tax is recognized on temporary differences between the tax and book value of assets and liabilities in the consolidated balance sheet and is measured using the balance sheet approach. Deferred tax is measured at the tax rates that are expected to apply to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date. Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset the recognized amounts and the Company intends to settle on a net basis or to realize the asset and settle the liability simultaneously.

A deferred tax asset is recognized for unused tax losses, tax credits and deductible temporary differences to the extent that it is probable that future taxable earnings will be available against which they can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that all or part of the related tax benefit will be realized.

In determining the amount of current and deferred tax the Company takes into account the impact of uncertain tax positions and whether additional taxes and interest may be due. The Company believes that its accruals for tax liabilities are adequate for all open tax years based on its assessment of many factors, including interpretations of tax law and prior experience. This assessment relies on estimates and assumptions and may involve a series of judgments about future events. New information may become available that causes the Company to change its judgment regarding the adequacy of existing tax liabilities; such changes to tax liabilities will impact tax expense in the period that such a determination is made.

***Non-Controlling Interest Obligation***

Non-controlling interest represent the equity in a subsidiary that is not attributable directly or indirectly to its parent. Non-controlling interest is typically presented within equity, separately from the equity of the parent. Income, expenses, assets and liabilities are typically reported in the parent's consolidated financial statements at the consolidated amounts, which include the amounts attributable to the owners of the parent and NCI. In the parent's consolidated statement of earnings, the amount of profit or loss and total comprehensive income attributable to owners of the parent and non-controlling interest are shown separately.

In conjunction with the acquisition of 90% of the outstanding shares of Ace Beverage Group, “ABG”, Corby has the right, but not an obligation to purchase 50% of the shares owned by ABG’s non-controlling shareholders at June 30, 2025 (“Year 2 Option”), and the remaining shares at June 30, 2028 (“Year 5 Option”). If Corby does not exercise the Year 2 Option and/or does not exercise the Year 5 Option, then in each fiscal year thereafter, ABG is obligated to declare and pay an annual dividend to its non-controlling shareholders equal to the cash balance of ABG, less an amount to satisfy the anticipated working capital and investment needs of ABG for the following fiscal year. Under both scenarios, Corby has an obligation to make a cash payment in the future which is payable to the non-controlling shareholders. Corby has 90 days after the period end date to exercise the option.

As a result, IFRS requires recognition of a liability payable to the non-controlling shareholders. The liability for the non-controlling interest obligation is measured using the discounted cash flows of the estimated future dividend stream of ABG. Accretion of the obligation is recorded as interest in financial expense on the statement of earnings.

***Revenue Recognition***

The Company derives its revenue from Case Goods sales, Commissions and other services. The Company recognizes revenue when control of the goods or services sold has been transferred to the customer. Revenue is measured at the amount of consideration to which the Company expects to be entitled after deducting trade discounts, volume rebates, sales-related taxes and duties and costs of services directly provided by customers.

*(i) Case Goods Sales*

Corby’s Case Goods are primarily sold to provincial liquor boards and international customers. Transfer of control over Case Goods is achieved when products are shipped from the Company’s various distribution sites and accepted by the customer. For sales to consumers through the Company’s retail stores, the transfer of control is deemed to occur when the product is purchased by the consumer.

Case Goods sales are recorded net of trade discounts, volume rebates, sales-related taxes and duties and costs of services provided directly by customers which include: distribution costs, listing costs for new products, promotional activities at point of sale and other advertising and promotional services. The transaction price recognized at that point reflects our estimate of the consideration to be received in exchange for the products. The actual amount may ultimately differ due to the effect of various customer incentives and trade promotion activities.

*(ii) Commissions*

When the Company acts in the capacity of an agent rather than as the principal in a transaction, revenue is recognized in the amount of the commission to which the Company is contractually entitled in exchange for representation services performed. Commissions are reported net of amortization of long-term representation rights. The long-term representation rights represent the cost of the Company’s exclusive right to represent PR’s brands in Canada and are amortized on a straight-line basis over the term of their respective agreements.

*(iii) Other services*

Other services include revenue from ancillary activities, including logistics fees and bulk whisky sales. Logistics fees are recognized as services are rendered. Bulk whisky sales are recognized when control of the goods has been transferred to the customer.

***Stock-Based Compensation Plans***

The Company utilizes a Restricted Share Units Plan as its long-term incentive plan. Through this plan, restricted share units (“RSUs”) will be granted to certain officers and employees at a grant price equal to the market closing price of the Company’s Voting Class A Common Shares on the last day prior to grant. RSUs vest at the end of a three-year term, subject to the achievement of pre-determined corporate performance targets and are settled in cash. The related compensation expense is recognized over the three-year vesting period. Accrued RSUs are valued at the closing market price of the Company’s Voting Class A Common Shares at each balance sheet date.

Unvested RSUs will attract dividend-equivalent units whenever dividends are paid on the Voting Class A Common Shares of the Company and will be immediately reinvested into additional RSUs, which will vest and become

payable at the end of the three-year vesting period, subject to the same performance conditions as the original RSU award. On the date of vesting, the holder will be entitled to the cash value of the number of RSUs granted, plus any RSUs received from reinvested dividend-equivalents, at the market closing price of the Company's Voting Class A Common Shares as at the vesting date. RSUs do not entitle participants to acquire any rights or entitlements as a shareholder of the Company.

***Earnings per Common Share***
The Company presents basic and diluted earnings per share ("EPS") amounts for its common shares. Basic EPS is calculated by dividing the net earnings attributable to common shareholders of the Company by the weighted average number of common shares outstanding during the period. Diluted EPS is calculated by adjusting the net earnings attributable to shareholders and the weighted average number of shares outstanding for the effect of potentially dilutive shares. There are no potentially dilutive shares as at June 30, 2025 and 2024.

***Classification of Financial Instruments***
Financial assets and financial liabilities are recognized when the Company becomes a party to the contractual provisions of the instruments. Financial instruments are classified into one of the following categories: fair value through profit or loss, fair value through other comprehensive income, or amortized cost. The classification determines the accounting treatment of the instrument. The classification is determined by the Company when the financial instrument is initially recorded, based on the underlying purpose of the instrument.

Corby's financial assets and liabilities are classified and measured as follows:

| Financial Asset/Liability | Category | Measurement |
|---|---|---|
| Cash | Amortized cost | Amortized cost |
| Deposits in cash management pools | Amortized cost | Amortized cost |
| Accounts receivable | Amortized cost | Amortized cost |
| Bank indebtedness | Amortized cost | Amortized cost |
| Accounts payable and accrued liabilities | Amortized cost | Amortized cost |
| Credit facilities payable | Amortized cost | Amortized cost |
| Long-term debt | Amortized cost | Amortized cost |
| Non-controlling interest obligation | Amortized cost | Amortized cost |

Financial instruments measured at amortized cost are initially recognized at fair value plus any directly attributable transaction costs and then, subsequently, at amortized cost using the effective interest method, less any impairment losses, with gains and losses recognized in earnings in the period in which the gain or loss occurs.

All financial assets are recognized and derecognized on the trade date. A financial asset is derecognized when the contractual rights to the cash flows from the asset expired or when the Company transferred the financial asset to another party without retaining control or substantially all the risks and rewards of ownership of the asset. Any interest in transferred financial assets that is created or retained by the Company is recognized as a separate asset or liability.

A financial liability is derecognized when its contractual obligations are discharged, cancelled or expire.

Transaction costs are added to the initial fair value of financial assets and liabilities when those financial assets and liabilities are not measured at fair value subsequent to initial measurement. Transaction costs are amortized to net earnings, in finance expense, using the effective interest method.

***Segmented Reporting***
An operating segment is a component of the Company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Company's other operations. Segment operating results are reviewed regularly by the Company's CEO to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

## 5. FINANCIAL INSTRUMENTS

Corby's financial instruments consist of cash, deposits in cash management pools, bank indebtedness, accounts receivable, accounts payable and accrued liabilities, credit facilities payable, long-term debt, and non-controlling interest obligation balances.

***Financial Risk Management Objectives and Policies***

In the normal course of business, the Company is exposed to financial risks that have the potential to negatively impact its financial performance. Management believes that the risks arising from the Company's financial instruments are already at an acceptably low level and does not actively manage these risks. These risks are discussed in more detail below.

Credit Risk

Credit risk arises from cash held with PR via Corby's participation in the Mirror Netting Service Agreement (further described in Note 31), as well as credit exposure to customers, including outstanding accounts receivable. The maximum exposure to credit risk is equal to the carrying value of the financial assets.

The objective of managing counter-party credit risk is to prevent losses in financial assets. The Company assesses the credit quality of its counter-parties, taking into account their financial position, past experience and other factors.

Management believes that the Company's credit risk relating to accounts receivable is at an acceptably low level. As at June 30, 2025, over 90% (2024 – 90%) of Corby's trade receivable balances are collectible from government-controlled liquor boards. The remaining trade receivable balances relate to agency sales and sales generated from export sales. Receivables that are neither past due nor impaired are considered credit of high quality.

With respect to Corby's deposits in PR's cash management pools, the Company monitors PR's credit rating in the normal course of business and has the right to terminate its participation in the Mirror Netting Service Agreement at any time, subject to five days' written notice.

*Liquidity Risk*

Liquidity risk is the risk the Company may not be able to settle or meet its obligations associated with financial liabilities that are settled by delivering cash or another financial asset. The Company's Executive Team is responsible for the management of liquidity risk, including funding, settlements, and related processes and policies. The operational, tax, capital and regulatory requirements and obligations of the Company are considered in the management of liquidity.

Corby's sources of liquidity are its cash of $179, deposits in cash management pools of $15,756, future cash generated by operating activities and available credit on its revolving operating facility of $11,523. The Company believes that its deposits in cash management pools, combined with its historically strong and consistent operational cash flows, are more than sufficient to fund its operations, investing activities and commitments for the foreseeable future.

The Company manages its liquidity risk utilizing various sources of financing to maintain flexibility while ensuring access to cost-effective funds when required through the use of its operating line of credit, credit facilities, and its long-term debt from PR. The Company also monitors both short and long-term cash flow forecasts, taking into account seasonality of its revenue, income and working capital needs to manage liquidity risk.

The following table reflects Corby's remaining contractual obligations for its financial liabilities with contractual repayment periods using the undiscounted cash flows based on the earliest date on which the Company can be required to pay, both interest and principal, when applicable.

The company's contractual maturities are as follows:

| | Less than 1 year | 1 to 5 years | 5 years and thereafter | Total |
|---|---|---|---|---|
| Bank indebtedness | $ 3,477 | $ - | $ - | $ 3,477 |
| Accounts payables and accrued liabilities | 64,049 | - | - | 64,049 |
| Lease liabilities | 1,688 | 1,918 | - | 3,606 |
| Credit facilities payable | 1,505 | - | - | 1,505 |
| Long-term debt | - | - | 102,000 | 102,000 |
| Non-controlling interest obligation | - | 18,232 | - | 18,232 |
| | $ 70,719 | $ 20,150 | $ 102,000 | $ 192,869 |

*Interest Rate Risk*

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company is exposed to interest rate risk to the extent that its deposits in cash managements pools, bank indebtedness and credit facilities payable are based upon variable rates of interest. The Company's long-term debt bears interest at a fixed rate.

During the fiscal year ended June 30, 2025, Corby earned market rates of interest, based upon the 30-day CORRA rate plus 0.75%, on its deposits in cash management pools. Prior year interest was calculated using the 30-day Canadian Dealer Offered Rate ("CDOR") plus 0.40% to calculate its interest earned on deposits in cash management pools. A 50 basis point ("bp") increase or decrease in the interest rate would impact the Company's earnings by approximately $97 (2024 – $144).

The Company's bank indebtedness and credit facilities bear interest based on variable market rates. A 50 bp increase or decrease in the interest rate would impact the Company's earnings by approximately $48 (2024 – $95).

An active interest rate risk management program does not exist, as management believes that changes in interest rates would not have a material impact on Corby's financial position over the long-term. The Company has entered into floating rate interest swap arrangements to mitigate fluctuations on the credit facilities that bear interest at variable market rates. These arrangements have a nominal value of $6,000 (2024 - $9,000).

*Foreign Currency Risk*

The Company has exposure to foreign currency risk as it conducts business in multiple foreign currencies; however, its exposure is primarily limited to the US dollar ("USD") and UK pound sterling ("GBP"). Corby does not utilize derivative instruments to manage this risk. Subject to competitive conditions, changes in foreign currency rates may be passed on to consumers through pricing over the long-term. A 1% increase or decrease in the exchange rate of the US dollar or the UK pound sterling would impact the Company's net earnings by approximately $205 (2024 - $3) or $49 (2024 - $42), respectively.

*USD Exposure*

The Company's demand for USD has traditionally outpaced its supply, due to USD sourcing of production inputs and Advertising & Promotion expenses exceeding that of the Company's USD sales. Therefore, decreases in the value of the Canadian dollar ("CAD") relative to the USD will have an unfavourable impact on the Company's earnings.

*GBP Exposure*

The Company's supply of GBP outpaces demand, as Corby's sales into the UK market are denominated in GBP, while having only certain production inputs denominated in GBP. Therefore, increases in the value of the CAD relative to the GBP will have an unfavourable impact on the Company's earnings.

*Commodity Risk*

Commodity risk exists, as the manufacture of Corby's products requires the procurement of several known commodities such as grains, sugar and natural gas. The Company strives to partially mitigate this risk through the use of longer-term procurement contracts where possible. In addition, subject to competitive conditions, the Company may pass on commodity price changes to consumers via pricing.

***Fair Value of Financial Instruments***
The Company uses a fair value hierarchy in order to classify the fair value measurements and disclosures related to the Company's financial assets and financial liabilities.

The fair value hierarchy has the following levels:
- Level 1 – Quoted market prices in active markets for identical assets or liabilities;
- Level 2 – Inputs other than quoted market prices included in Level 1 that are observable for the asset or liability, either directly (as prices) or indirectly (derived from prices); and
- Level 3 – Unobservable inputs such as inputs for the asset or liability that are not based on observable market data.

For financial assets and liabilities that are valued at other than fair value on its balance sheets (i.e., deposits in cash management pools, accounts receivable, bank indebtedness, accounts payable and accrued liabilities, and credit facilities payable), fair value approximates their carrying value at each balance sheet date due to their short-term maturities. The fair value of the term loan payable is approximately $101,113 at June 30, 2025. Fair value is determined using Level 2 inputs. Level 3 inputs are used to determine the fair value of pension plan assets contained within the infrastructure and real estate funds. Level 3 inputs are used to estimate the fair value of the non-controlling interest obligation.

## 6. CAPITAL MANAGEMENT

The Company's objectives when managing capital are:

- To ensure sufficient capital exists to allow management the flexibility to execute its strategic plans; and
- To ensure shareholders receive a reasonable return on their investment in the form of quarterly dividends.

Management includes the following items in its definition of capital:

| | | **June 30, 2025** | | June 30, 2024 |
|---|---|---|---|---|
| Share capital | **$** | **14,304** | $ | 14,304 |
| Accumulated other comprehensive income | | **8,374** | | 8,448 |
| Retained earnings | | **160,654** | | 158,849 |
| Net capital under management | **$** | **183,332** | $ | 181,601 |

The Company is not subject to any externally imposed capital requirements.

The Company is meeting all of its objectives and stated policies with respect to its management of capital.

## 7. BUSINESS COMBINATIONS

***MXM Beverages Ltd.***

On May 13, 2024, Corby's subsidiary, ABG, acquired certain assets of MXM Beverages Ltd. ("MXM"). The purchase price of $11,799 was paid using available cash and financing in the form of an acquisition loan. The acquisition loan bears interest at a variable rate using methodologies based on the Canadian Overnight Repo Rate ("CORRA") plus the applicable CORRA margin, or prime plus the applicable prime rate margin. The applicable CORRA margin and the applicable prime rate margin, are determined with reference to the Total Leverage Ratio of ABG.

MXM holds a prominent position in the RTD and better-for-you beverages market in Western Canada. MXM's portfolio includes its flagship brand "Nude" and other innovative RTD offerings further adding scale to Corby and ABG's portfolio within the high-growth RTD category.

The Company has accounted for this acquisition using the acquisition method in accordance with IFRS 3, Business Combinations ("IFRS 3"), as the assets acquired substantially constitute a business, and the results of MXM have been consolidated with those of the Company from the date of acquisition. The total purchase consideration has been allocated to identifiable assets acquired, including trademark, based on their fair values of $9,279 and goodwill of $2,520. The fair value of the trademark was determined using an income approach and required the Company to make significant assumptions, which included, forecasted revenues, royalty rate and the discount rate.

During the year ended June 30, 2025, the Company recorded an adjustment to inventory and goodwill in the amount of $389 to adjust for the undervaluation of inventories recorded on date of acquisition.

Details of the fair value of identifiable assets acquired, purchase consideration and goodwill are as follows:

| **Purchase consideration** | **$** | **11,799** |
|---|---|---|
| Accounts receivable | | 1,333 |
| Inventories | | 4,376 |
| Trademark | | 3,570 |
| **Total identifiable net assets acquired** | **$** | **9,279** |

Goodwill arising from the acquisition has been recognized as follows:

| **Purchase consideration** | **$** | **11,799** |
|---|---|---|
| Fair value of identifiable assets acquired including brands | | (9,279) |
| **Goodwill** | **$** | **2,520** |

Goodwill is attributable to the synergies expected to be achieved from integrating MXM's products into the Company's existing portfolio. Goodwill arising from this transaction is expected to be deductible for tax purposes.

***Ace Beverage Group Inc.***

On July 4, 2023, Corby acquired 90% of the outstanding shares of ABG. The purchase price of $136,321 was paid using available cash and financing from PR, Corby's ultimate parent, in the form of a 10-year term loan which bears interest at a fixed rate of 5.43% per annum. In connection with the closing of the transaction, Corby also signed a guarantee in favour of a Canadian chartered bank for payments of amounts owing under ABG's continuing operating loan.

Further, the Company entered into an agreement with the non-controlling shareholders of ABG which provides the Company with options to purchase the remaining outstanding shares of ABG in the future. In the event that the Company does not exercise the options, the Company is obligated to declare and pay an annual dividend to the non-controlling shareholders equal to the cash balance, less an amount to satisfy the anticipated working capital and investment needs of ABG for the following fiscal year subject to applicable law and approval by the Board of Directors of ABG addressing the ability of ABG to declare and pay such dividends. Please refer to Note 20 for further information regarding the non-controlling interest obligation.

ABG holds a leading position in the RTD and better-for-you beverages market in Canada. ABG's portfolio includes its flagship brand "Cottage Springs" and other innovative RTD offerings adding significant scale to Corby's portfolio as well as expertise in the high-growth RTD category.

The Company has accounted for this acquisition using the acquisition method in accordance with IFRS 3, and the results of ABG have been consolidated with those of the Company from the date of acquisition. IFRS 3 provides that for each transaction to apply either the proportionate or full goodwill methods. The Company has applied the proportionate method to this transaction. The total purchase consideration has been allocated to identifiable assets acquired, including trademarks, based on their fair values of $45,041 and goodwill $105,685. The fair value of the trademarks was determined using an income approach and required the Company to make significant assumptions, which include, forecasted revenues, royalty rate and the discount rate.

Details of the fair value of identifiable assets acquired, purchase consideration and goodwill are as follows:

| **Purchase consideration** | **$** | **136,321** |
|---|---|---|
| Accounts receivable | | 11,438 |
| Inventories | | 19,222 |
| Prepaid expenses | | 573 |
| Property, plant and equipment | | 513 |
| Right-of-use assets | | 437 |
| Intangible assets | | 46,691 |
| Cash | | 4 |
| Bank indebtedness | | (9,631) |
| Accounts payables and accrued liabilities | | (4,206) |
| Credit facility payable and other debt-like items | | (8,805) |
| Lease liabilities | | (455) |
| Deferred income taxes, net | | (10,740) |
| **Total identifiable net assets acquired** | **$** | **45,041** |

Goodwill arising from the acquisition has been recognized as follows:

| **Purchase consideration** | **$** | **136,321** |
|---|---|---|
| Non-controlling interest obligation | | 14,405 |
| Fair value of identifiable assets acquired including trademarks | | (45,041) |
| **Goodwill** | **$** | **105,685** |

Goodwill is attributable to the expertise of ABG's team within the RTD segment as well as synergies expected to be achieved from integrating ABG's products into the Company's existing portfolio. Goodwill arising from this transaction is not expected to be deductible for tax purposes.

## 8. ACCOUNTS RECEIVABLE

| | | **June 30, 2025** | | June 30, 2024 |
|---|---|---|---|---|
| Trade receivables | **$** | **31,938** | $ | 33,753 |
| Due from related parties | | **19,523** | | 13,767 |
| Other | | **3,724** | | 1,376 |
| | | **55,185** | | 48,896 |
| Allowance for uncollectible amounts | | **(100)** | | (267) |
| | **$** | **55,085** | $ | 48,629 |

## 9. INVENTORIES

| | | **June 30, 2025** | | June 30, 2024 |
|---|---|---|---|---|
| Raw materials | **$** | **15,064** | $ | 12,503 |
| Work-in-progress | | **62,155** | | 58,278 |
| Finished goods | | **24,238** | | 23,947 |
| | **$** | **101,457** | $ | 94,728 |

The cost of inventory recognized as an expense and included in cost of sales during the year ended June 30, 2025 was $106,439 (2024 – $102,034). The cost of inventory recognized as an expense and included in cost of goods sold includes the fair value adjustments of inventory acquired through acquisitions noted below.

On May 13, 2024, the Company acquired $4,376 of inventories as part of the acquisition of MXM of which $753 related to a fair value adjustment, representing the difference between inventory cost and its fair value. The fair value adjustment is recognized as an expense in cost of sales as the related inventories are sold. For the year ended June 30, 2025, the Company recognized $595 of the fair value adjustment in cost of sales, which decreased gross profit realized (2024 - $158).

On July 4, 2023, the Company acquired $19,222 of inventories as part of the acquisition of ABG of which $3,047 related to a fair value adjustment, representing the difference between inventory cost and its fair value. For the year ended June 30, 2024, the Company recognized $3,047 of the fair value adjustment in cost of sales, which decreased gross profit realized.

During the year, there were write-downs of $1,480 (2024 – $507) on inventory as a result of net realizable value being lower than cost. During the year ended June 30, 2024, a previous write-down of inventory in the amount of $187 was reversed. There were no reversals of inventory write-downs during the current fiscal year ended June 30, 2025. Inventory write-downs are included in cost of sales.

## 10. PROVISION FOR EMPLOYEE BENEFITS

The Company provides pension benefits to its employees through a defined contribution pension plan and defined benefit pension plans. Employees hired after July 1, 2010 are no longer offered enrolment into the Company's defined benefit pension plans. Instead, the Company provides these employees a defined contribution pension plan. To become eligible to join the defined contribution pension plan, most employees must first accrue 90 days of service. For the year ended June 30, 2025, the Company recognized contributions of $750 as an expense (2024 - $744) with respect to the defined contribution pension plan.

The Company has two defined benefit pension plans for executives and salaried employees (the "registered pension plans"), two supplementary executive retirement plans for retired and current senior executives of the Company (the "non-registered pension plans"), and a post-retirement benefit plan ("other benefit plan") covering retiree life insurance, health care and dental care. Benefits under these plans are based on years of service and compensation levels.

The registered pension plans are registered under the Pension Benefits Act (Ontario) (the "Act") with regulatory oversight by the Financial Services Regulatory Authority of Ontario. The latest valuations completed for these plans are dated December 31, 2022 for the executive plan and June 30, 2023 for the salaried plan. The next required valuations must be completed with an effective date no later than December 31, 2025 and June 30, 2026, respectively. The Act requires funding valuations for the registered pension plans to be performed at least once every three years and plan deficits must be funded over a period of up to five years. The registered pension plans are funded through a combination of employee and employer contributions.

The Company is under no obligation to make any funding in respect to the benefits accruing under the non-registered pension plans. However, the Company has adopted a funding policy to make periodic contributions to the non-registered pension plans to provide security for the benefits accrued by the members. Such funding policy may be reviewed and amended at any time by the Company.

The post-retirement benefit plan is unfunded.

In 2020, the Company initiated a pension de-risking strategy for Corby's defined benefit salaried pension plan using securities investments held in the salaried plan to purchase a buy-in annuity for retirees and deferred vested plan members. The buy-in annuity transaction in 2020 effectively reduced Corby's exposure to pension related financial risks. Effective January 1, 2024 Corby converted the buy-in annuities held for its salaried pension plan to buy-out annuities. By converting to a buy-out annuity Corby now effectively reduces administrative costs, including maintenance of pensioner records, benefit payments and regulatory requirements for the group impacted. As a result, during the year ended June 30, 2024, the conversion to a buy-out annuity reduced both the plan assets and the defined benefit obligation by $17,030, and did not result in a gain or loss on plan settlement.

As at June 30, 2025, the average duration of the defined benefit obligation for the registered and non-registered pension plans and the post-retirement benefit plan is 13 years (2024 – 13 years).

Company contributions to the registered and non-registered pension plans are expected to be $165 for the fiscal year ended June 30, 2026.

The Company maintains a Canadian Pension Committee, which provides oversight of the Company's pension benefit policies, investment policies and plan administration. The Company uses the service of third parties to provide investment management services such as managing the pension plan assets in accordance with the established investment policies.

The Company is subject to certain risks as a result of the existence of its registered and non-registered pension plans and its post-retirement benefit plan. These risks include actuarial risks such as investment risk, interest rate risk as this impacts the discount rate, longevity risk and compensation risk.

The present value of the defined benefit obligation is calculated using a discount rate. If the return on plan assets is below this rate, a plan's surplus is reduced or a plan deficit occurs. The Company mitigates this investment risk by establishing an investment policy to be followed by the registered pension plans' investment managers and providing oversight to the Canadian Pension Committee. The Company's investment policy requires the registered pension plans' assets be invested in a diversified portfolio that does not concentrate investment in any one security or bond.

An increase in interest rates will increase the discount rate, which will subsequently decrease the present value of the defined benefit obligation. An increase in longevity and compensation will increase the present value of the defined benefit obligation. Longevity risk is impacted by mortality assumptions, which are based on the 2014 Private Canadian Pensioners Mortality tables as prepared by the Canadian Institute of Actuaries.

The significant actuarial assumptions are as follows:

| | | | **2025** | | | 2024 |
|---|---|---|---|---|---|---|
| | Registered Pension Plans | Non-registered Pension Plans | Other Benefit Plan | Registered Pension Plans | Non-registered Pension Plans | Other Benefit Plan |
| **Accrued benefit obligation, end of year** | | | | | | |
| Discount rate | **5.0%** | **5.0%** | **5.0%** | 5.1% | 5.1% | 5.1% |
| Compensation increase | **3.0%** | **3.0%** | **N/A** | 3.0% | 3.0% | N/A |
| Inflation | **2.0%** | **2.0%** | **N/A** | 2.0% | 2.0% | N/A |
| **Benefit expense, for the year** | | | | | | |
| Discount rate | **5.1%** | **5.1%** | **5.1%** | 5.1% | 5.1% | 5.1% |
| Compensation increase | **3.0%** | **3.0%** | **N/A** | 3.0% | 3.0% | N/A |
| Inflation | **2.0%** | **2.0%** | **N/A** | 2.0% | 2.0% | N/A |

The discount rate has been set based on current market rates at the end of the Company's financial year, assuming a rate of return comparable to high-quality fixed income securities of equivalent currency and term that approximate the terms of the pension plan liabilities. A 50bp increase in the assumed discount rate would decrease the amount of the Company's provision for pensions and pension expense in respect of its registered and non-registered defined benefit plans by $1,991 and $51, respectively. Conversely, a 50bp decrease in the assumed discount rate would increase the amount of the Company's provision for pensions and pension expense in respect of its registered and non-registered defined benefit plans by $2,143 and $57, respectively. The method used to determine the impact of the discount rate changes is consistent with the method used in prior years and the method used to determine the amounts recognized in the consolidated financial statements.

The medical cost trend rate used was 4.3% for 2025 (2024 – 4.5%), with 3.1% being the ultimate trend rate for 2040 and years thereafter (2024 – 3.1%). The dental cost trend rate used was 6.0% for 2025 (2024 – 6.0%). Assumed health care cost trend rates have a significant effect on the amounts reported for the other benefit plan. A 1% increase in the assumed medical cost trend rate would increase the amount of the Company's provision for

pensions by $549 with minimal impact on pension expense. Conversely, a 1% decrease in the medical cost trend rate would decrease the amount of the Company's provision for pensions $459 with minimal impact on pension expense. The method used to determine the impact of medical cost rate changes is consistent with the method used in prior years and the method used to determine the amounts recognized in the consolidated financial statements.

A summary of the Company's defined benefit obligation and plan assets is as follows:

| | **June 30, 2025** | June 30, 2024 |
|---|---|---|
| Present value of defined benefit obligation of unfunded plans | **$ (6,037)** | $ (6,186) |
| Present value of defined benefit obligation of partially funded plans | **(8,611)** | (7,814) |
| Present value of defined benefit obligation of fully funded plans | **(17,877)** | (17,065) |
| Total present value of defined benefit obligation | **(32,525)** | (31,065) |
| Fair value of plan assets | **33,546** | 32,256 |
| Net defined benefit asset (liability) | **$ 1,021** | $ 1,191 |

Information about the Company's pension and other benefit plans for the year ended June 30, 2025 is as follows:

| | | | | **2025** |
|---|---|---|---|---|
| | Registered Pension Plans | Non-registered Pension Plans | Other Benefit Plan | Total |
| **Fair value of plan assets** | | | | |
| Fair value of plan assets, beginning of year | **$ 18,474** | **$ 13,782** | **$ -** | **$ 32,256** |
| Interest income | **933** | **690** | **-** | **1,623** |
| Actuarial gains | **2,783** | **56** | **-** | **2,839** |
| Change in the asset ceiling impact | **(1,733)** | **-** | **-** | **(1,733)** |
| Company contributions | **192** | **-** | **-** | **192** |
| Plan participants' contributions | **82** | **-** | **-** | **82** |
| Benefits paid | **(621)** | **(535)** | **-** | **(1,156)** |
| Administrative costs | **(169)** | **(56)** | **-** | **(225)** |
| Transfer out of participants | **(332)** | **-** | **-** | **(332)** |
| Fair value of plan assets, end of year | **$ 19,609** | **$ 13,937** | **$ -** | **$ 33,546** |
| **Present value of defined benefit obligation** | | | | |
| Defined benefit obligation, beginning of year | **$ 17,065** | **$ 7,814** | **$ 6,186** | **$ 31,065** |
| Current service cost | **438** | **111** | **39** | **588** |
| Interest cost | **856** | **385** | **307** | **1,548** |
| Plan participants' contributions | **82** | **-** | **-** | **82** |
| Actuarial losses (gains): | | | | |
| Experience losses and (gains) | **9** | **728** | **(143)** | **594** |
| Losses due to financial assumption changes | **384** | **130** | **98** | **612** |
| Benefits paid | **(625)** | **(557)** | **(450)** | **(1,632)** |
| Transfer out of participants | **(332)** | **-** | **-** | **(332)** |
| Present value of the defined benefit obligations, end of year | **$ 17,877** | **$ 8,611** | **$ 6,037** | **$ 32,525** |
| Net defined benefit asset (liability) | **$ 1,732** | **$ 5,326** | **$ (6,037)** | **$ 1,021** |

The defined benefit asset (liability) is recorded in the consolidated balance sheet as follows:

| | | | | **2025** |
|---|---|---|---|---|
| | Registered Pension Plans | Non-registered Pension Plans | Other Benefit Plan | Total |
| Other assets | **$ 1,732** | **$ 5,411** | **$ -** | **$ 7,143** |
| Provision for employee benefits | **-** | **(85)** | **(6,037)** | **(6,122)** |

The actual return on plan assets for the financial year ended June 30, 2025 was $4,462, which was composed of interest income and actuarial gains included in the reconciliation of the fair value of plan assets above.

Information about the Company's pension and other benefit plans for the year ended June 30, 2024 is as follows:

| | | | | 2024 |
|---|---|---|---|---|
| | Registered Pension Plans | Non-registered Pension Plans | Other Benefit Plan | Total |
| **Fair value of plan assets** | | | | |
| Fair value of plan assets, beginning of year | $ 34,055 | $ 14,281 | $ - | $ 48,336 |
| Interest income | 1,681 | 708 | - | 2,389 |
| Actuarial gains (losses) | 1,703 | (616) | - | 1,087 |
| Change in the asset ceiling impact | (198) | - | - | (198) |
| Company contributions | 713 | - | - | 713 |
| Plan participants' contributions | 93 | - | - | 93 |
| Benefits paid | (2,251) | (535) | - | (2,786) |
| Impact of conversion to buy-out annuity | (17,030) | - | - | (17,030) |
| Administrative costs | (144) | (56) | - | (200) |
| Transfer out of participants | (148) | - | - | (148) |
| Fair value of plan assets, end of year | $ 18,474 | $ 13,782 | $ - | $ 32,256 |
| **Present value of defined benefit obligation** | | | | |
| Defined benefit obligation, beginning of year | $ 34,846 | $ 7,939 | $ 6,644 | $ 49,429 |
| Current service cost | 556 | 106 | 54 | 716 |
| Interest cost | 1,702 | 387 | 326 | 2,415 |
| Plan participants' contributions | 93 | - | - | 93 |
| Actuarial losses (gains): | | | | |
| Experience losses and (gains) | (594) | (11) | (338) | (943) |
| Gains due to financial assumption changes | (124) | (45) | (186) | (355) |
| Benefits paid | (2,236) | (562) | (314) | (3,112) |
| Impact of conversion to buy-out annuity | (17,030) | - | - | (17,030) |
| Transfer out of participants | (148) | - | - | (148) |
| Present value of the defined benefit obligations, end of year | $ 17,065 | $ 7,814 | $ 6,186 | $ 31,065 |
| Net defined benefit asset (liability) | $ 1,409 | $ 5,968 | $ (6,186) | $ 1,191 |

The defined benefit asset (liability) is recorded in the consolidated balance sheet as follows:

| | | | | 2024 |
|---|---|---|---|---|
| | Registered Pension Plans | Non-registered Pension Plans | Other Benefit Plan | Total |
| Other assets | $ 1,947 | $ 6,068 | $ - | $ 8,015 |
| Provision for employee benefits | (538) | (100) | (6,186) | (6,824) |

The actual return on plan assets for the financial year ended June 30, 2024 was $3,476, which was composed of interest income and actuarial gains included in the reconciliation of the fair value of plan assets above.

Amounts recognized in comprehensive income in respect to the defined benefit plans are as follows:

| | **2025** | 2024 |
|---|---|---|
| Current service costs | **$ 588** | $ 716 |
| Interest costs | **150** | 226 |
| Net expense recognized in Net Earnings | **738** | 942 |
| Net actuarial losses (gains) recognized in Other Comprehensive Income | **100** | (2,187) |
| Total net expense (income) recognized in Total Comprehensive Income | **$ 838** | $ (1,245) |

The assets of the registered pension plans consist of cash, contributions receivable and investments held in the Hiram Walker & Corby Canadian Pooled Fund Trust. As at June 30, 2025, the fair value of the Trust's assets totaled $184,214, of which the Company's registered pension plans hold approximately 14% of the total Trust assets.

The fair values of assets held on behalf of the Company's registered pension plans are categorized in the fair value hierarchy as at June 30 as follows:

| | **June 30, 2025** | June 30, 2024 |
|---|---|---|
| Cash and Canadian equities - level 1 | **$ 273** | $ 205 |
| Canadian equities - level 2 | **3,938** | 3,224 |
| Bond funds - level 2 | **4,650** | 3,865 |
| Foreign equities and foreign equity funds - level 2 | **12,708** | 10,568 |
| Infrastructure and real estate funds - level 3 | **4,082** | 4,712 |
| | **25,651** | 22,574 |
| Reduction in asset due to surplus cap | **(6,042)** | (4,100) |
| | **$ 19,609** | $ 18,474 |

The assets of the non-registered pension plan consist of cash, investments and refundable taxes on account with Canada Revenue Agency. The investments held by the non-registered pension plan are invested in a limited number of pooled funds. The assets, based on market values at June 30, are as follows:

| | **June 30, 2025** | June 30, 2024 |
|---|---|---|
| Bond funds | **$ 8,533** | $ 8,404 |
| Refundable tax on account with Canada Revenue Agency | **5,404** | 5,378 |
| | **$ 13,937** | $ 13,782 |

The fair values of the investments held by the non-registered plan as at June 30, 2025 and 2024 are categorized as Level 2 in the fair value hierarchy.

The fair value of the Refundable Tax held on account with Canada Revenue Agency is determined by estimating the future benefit payments, which will deplete the Refundable Tax account over the remaining life of the plan, and applying a discount rate based on long-term Government of Canada bond yields.

## 11. LEASES

The following table is a continuity of right-of-use assets as at and for the years ended June 30, 2025 and 2024:

| | | | **June 30, 2025** |
|---|---|---|---|
| | **Building** | **Vehicles** | **Total** |
| **Balance, beginning of the year** | $ 1,482 | $ 1,460 | $ 2,942 |
| Lease additions | 891 | 1,665 | 2,556 |
| Depreciation | (1,062) | (904) | (1,966) |
| **Balance, end of the year** | **$ 1,311** | **$ 2,221** | **$ 3,532** |

| | | | June 30, 2024 |
|---|---|---|---|
| | **Building** | **Vehicles** | **Total** |
| **Balance, beginning of the year** | $ 2,334 | $ 1,225 | $ 3,559 |
| Business combinations (Note 7) | - | 437 | $ 437 |
| Lease additions | 23 | 418 | 441 |
| Depreciation | (875) | (597) | (1,472) |
| Lease terminations | - | (23) | (23) |
| **Balance, end of the year** | $ 1,482 | $ 1,460 | $ 2,942 |

The following is a continuity of lease liabilities as at and for the years ended June 30, 2025 and 2024:

| | **June 30 2025** | June 30 2024 |
|---|---|---|
| **Balance, beginning of the year** | **$ 3,019** | $ 3,620 |
| Business combinations (Note 7) | **-** | 455 |
| Lease additions | **2,530** | 487 |
| Lease terminations | **-** | (140) |
| Lease payments | **(1,943)** | (1,403) |
| **Balance, end of the year** | **$ 3,606** | $ 3,019 |
| | | |
| Lease liabilities due within one year | **$ 1,688** | $ 1,419 |
| Lease liabilities | **1,918** | 1,600 |
| **Total lease liabilities** | **$ 3,606** | $ 3,019 |

The expense related to leases with variable consideration, short-term lease and low value leases amounted to $168 (2024 - $26) and is recorded within marketing, sales and administration expenses.

## 12. PROPERTY, PLANT AND EQUIPMENT

| | June 30, 2024 | Additions | Depreciation | Disposals | June 30, 2025 |
|---|---|---|---|---|---|
| Land | $ 1,367 | $ - | $ - | $ - | $ 1,367 |
| Vines | 751 | 90 | - | - | 841 |
| Building | 4,304 | - | - | - | 4,304 |
| Leasehold improvements | 1,583 | 18 | - | (30) | 1,571 |
| Machinery and equipment | 14,517 | 997 | - | (20) | 15,494 |
| Casks | 20,839 | 1,124 | - | - | 21,963 |
| Gross value | 43,361 | 2,229 | - | (50) | 45,540 |
| Vines | (127) | - | (28) | - | (155) |
| Building | (651) | - | (133) | - | (784) |
| Leasehold improvements | (890) | - | (286) | 13 | (1,163) |
| Machinery and equipment | (8,221) | - | (1,346) | 12 | (9,555) |
| Casks | (11,564) | - | (1,452) | - | (13,016) |
| Accum. depreciation | (21,453) | - | (3,245) | 25 | (24,673) |
| Property, plant and equipment | $ 21,908 | $ 2,229 | $ (3,245) | $ (25) | $ 20,867 |

| | June 30, 2023 | Business Combinations (Note 7) | Additions | Depreciation | Disposals | June 30, 2024 |
|---|---|---|---|---|---|---|
| Land | $ 1,367 | $ - | $ - | $ - | $ - | $ 1,367 |
| Vines | 662 | - | 89 | - | - | 751 |
| Building | 4,195 | - | 109 | - | - | 4,304 |
| Leasehold improvements | 1,468 | 55 | 60 | - | - | 1,583 |
| Machinery and equipment | 13,373 | 458 | 747 | - | (61) | 14,517 |
| Casks | 19,131 | - | 1,708 | - | - | 20,839 |
| Gross value | 40,196 | 513 | 2,713 | - | (61) | 43,361 |
| Vines | (107) | - | - | (20) | - | (127) |
| Building | (522) | - | - | (129) | - | (651) |
| Leasehold improvements | (613) | - | - | (277) | - | (890) |
| Machinery and equipment | (7,116) | - | - | (1,127) | 22 | (8,221) |
| Casks | (10,203) | - | - | (1,361) | - | (11,564) |
| Accum. depreciation | (18,561) | - | - | (2,914) | 22 | (21,453) |
| Property, plant and equipment | $ 21,635 | $ 513 | $ 2,713 | $ (2,914) | $ (39) | $ 21,908 |

## 13. GOODWILL

Changes in the carrying amount of goodwill are as follows:

| | June 30, 2025 | June 30, 2024 |
|---|---|---|
| Balance, beginning of year | $ 117,351 | $ 8,757 |
| Business combinations (Note 7) | (389) | 108,594 |
| **Balance, end of year** | **$ 116,962** | $ 117,351 |

There has been no impairment recognized with respect to goodwill during 2025 (2024 - $nil).

## 14. INTANGIBLE ASSETS

| | | | | 2025 |
|---|---|---|---|---|
| | | Movements in the Year | | |
| | Opening Book Value | Additions | Amortization | Ending Book Value |
| Long-term representation rights | **$ 23,337** | **$ -** | **$ (10,371)** | **$ 12,966** |
| Trademarks and licences | **65,111** | **-** | **-** | **65,111** |
| Distribution rights | **330** | **-** | **-** | **330** |
| IT Software | **2,174** | **210** | **(696)** | **1,688** |
| | **$ 90,952** | **$ 210** | **$ (11,067)** | **$ 80,095** |

| | | | | | 2024 |
|---|---|---|---|---|---|
| | | Movements in the Year | | | |
| | Opening Book Value | Business Combination (Note 7) | Additions | Amortization | Ending Book Value |
| Long-term representation rights | $ 33,708 | $ - | $ - | $ (10,371) | $ 23,337 |
| Trademarks and licences | 15,331 | 49,780 | - | - | 65,111 |
| Distribution rights | - | 330 | - | - | 330 |
| IT Software | 2,143 | 151 | 566 | (686) | 2,174 |
| | $ 51,182 | $ 50,261 | $ 566 | $ (11,057) | $ 90,952 |

## 15. IMPAIRMENT

The Company tests goodwill and indefinite-lived intangibles (trademarks and licences) for impairment on an annual basis. The carrying value of goodwill and indefinite-lived intangibles at June 30, 2025, along with the data and assumptions applied to the CGUs of the Case Goods Segment are as follows:

| | Carrying Value Goodwill | Carrying Value Trademarks & Licences | Discount Rate | Terminal Growth Rate | 5 Year Revenue Growth Rate |
|---|---|---|---|---|---|
| Case Goods Segment | $ 116,962 | $ 65,111 | 9.3% to 10.3% | 0.1% to 2.4% | 4% to 5% |

The Company's Commissions segment has no goodwill or indefinite-lived intangibles.

For purposes of impairment testing, goodwill and intangibles with an indefinite life (trademarks and licences) were allocated to the group of CGUs that represent the lowest level within the group at which the goodwill is monitored for internal management purposes.

During the financial year ended June 30, 2025, the Company performed impairment testing on goodwill and indefinite-lived intangible assets in accordance with its accounting policy and identified no impairment.

The discount rate used for these calculations is a pre-tax rate that corresponds to the weighted average cost of capital. Different discount rates were used to allow for risks specific to certain markets or geographical areas in calculating cash flows. Assumptions made in terms of future changes in sales and of terminal values are reasonable and in accordance with market data available for each of the CGUs. Additional impairment tests are applied where events or specific circumstances suggest that a potential impairment exists.

## 16. CREDIT FACILITIES PAYABLE

The Company, through its subsidiary ABG, has available a revolving operating facility authorized to a maximum of $15,000 and a non-revolving facility that is due on demand. At June 30, 2025 and June 30, 2024 the balances were as follows:

| | | **June 30, 2025** | | June 30, 2024 |
|---|---|---|---|---|
| Operating line of credit (available up to $15,000) | **$** | **3,477** | $ | - |
| Non-revolving credit facility | | **1,505** | | 17,816 |

During the year ended June 30, 2025, interest expense on both facilities amounted to $561 (2024 - $782). The facilities are held by a Canadian chartered bank and accrue interest at a variable rate using methodologies based on the CORRA rate plus the applicable CORRA margin, or prime plus the applicable prime rate margin. The applicable CORRA margin and the applicable prime rate margin, are determined with reference to the Total Leverage Ratio of ABG.

As at June 30, 2025, $1,505 is outstanding related to the non-revolving credit facility, the full amount of which is due within in the next year. During the year ended June 30, 2025, the Company made principal repayments of $16,311 (2024- net draws of $9,816) on the non-revolving credit facility. The Company may prepay outstanding amounts at any time, without penalty.

The facilities are secured by a general security agreement constituting a first-priority encumbrance on select present and future property and assignment of all proceeds under ABG's insurance policies. In connection with the closing of its acquisition of ABG, Corby signed a guarantee with respect to amounts owing under both facilities.

ABG is subject to covenants and was in compliance with all covenants as of June 30, 2025. Covenants are used to determine the appropriate interest rate margin on the various credit facilities under the agreements.

## 17. ACCOUNTS PAYABLE AND ACCRUED LIABILITIES

| | | **June 30, 2025** | | June 30, 2024 |
|---|---|---|---|---|
| Trade payables and accruals | **$** | **46,926** | $ | 43,924 |
| Due to related parties | | **13,302** | | 10,679 |
| Other | | **3,821** | | 2,838 |
| | **$** | **64,049** | $ | 57,441 |

## 18. LONG-TERM DEBT

The term loan payable is payable to Corby's ultimate parent company, PR, details are as follows:

| | Maturity Date | Rate | | **June 30, 2025** | | June 30, 2024 |
|---|---|---|---|---|---|---|
| Term loan payable | June 20, 2033 | 5.43% | **$** | **102,000** | $ | 120,000 |

The term loan payable is a related party transaction, please see Note 31 "Related Party Transactions" for further information.

The term loan payable bears interest at a fixed interest rate of 5.43%. Interest is payable on a quarterly basis at the end of each quarter. The term loan along with any accrued interest is due in full at the maturity date, June 20, 2033. Corby has the option to voluntarily make partial or total repayment at any time before the maturity date.

During the year ended June 30, 2025, the Company made principal repayments of $18,000 (2024 - $nil) and incurred interest of $5,981 (2024 - $5,993).

## 19. INCOME TAXES

| | | 2025 | | 2024 |
|---|---|---|---|---|
| **Current income tax expense** | | | | |
| Current period | **$** | **10,504** | $ | 7,620 |
| Increase/(Release) of tax risk | | **10** | | (100) |
| Adjustments with respect to prior period tax estimates | | **795** | | (275) |
| | **$** | **11,309** | $ | 7,245 |
| **Deferred income tax (recovery) expense** | | | | |
| Origination and reversal of temporary differences | **$** | **191** | $ | 1,785 |
| Adjustments with respect to prior period tax estimates | | **(812)** | | (43) |
| | | **(621)** | | 1,742 |
| **Total income tax expense** | **$** | **10,688** | $ | 8,987 |

At June 30, 2025 the Company had capital loss carry-forwards for tax purposes in the amount of $61 (2024 - $81).

The Company's effective tax rates comprise the following items:

| | | | 2025 | | | 2024 |
|---|---|---|---|---|---|---|
| Net earnings for the financial year | | **$** | **27,427** | | $ | 23,909 |
| Total income tax expense | | | **10,688** | | | 8,987 |
| Earnings before income tax expense | | **$** | **38,115** | | $ | 32,896 |
| Income tax using the combined Federal and Provincial statutory tax rates | **$** | **10,051** | **26.4%** | $ | 8,672 | 26.4% |
| Non-deductible expenses | | **638** | **1.6%** | | 765 | 2.3% |
| Adjustments with respect to prior period tax estimates | | **(16)** | **0.0%** | | (318) | (1.0%) |
| Other | | **15** | **0.0%** | | (132) | (0.4%) |
| Effective income tax rate | **$** | **10,688** | **28.0%** | $ | 8,987 | 27.3% |

Deferred tax (liabilities) assets are broken down by nature as follows:

| | | June 30, 2024 | Recognized in Earnings | Recognized in OCI | | June 30, 2025 |
|---|---|---|---|---|---|---|
| Provision for pensions | **$** | **(255)** | **$ 11** | **$ 26** | **$** | **(218)** |
| Property, plant and equipment | | **(4,455)** | **410** | **-** | | **(4,045)** |
| Losses | | **975** | **(303)** | **-** | | **672** |
| Intangibles | | **(14,547)** | **115** | **-** | | **(14,432)** |
| Other | | **711** | **388** | **-** | | **1,099** |
| | **$** | **(17,571)** | **$ 621** | **$ 26** | **$** | **(16,924)** |
| Deferred income tax assets | | | | | **$** | **1,158** |
| Deferred income tax liabilities | | | | | | **(18,082)** |

| | June 30, 2023 | Business Combination (Note 7) | Recognized in Earnings | Recognized in OCI | June 30, 2024 |
|---|---|---|---|---|---|
| Provision for pensions | $ 354 | $ - | $ (33) | $ (576) | $ (255) |
| Property, plant and equipment | (4,223) | (78) | (154) | - | (4,455) |
| Losses | 1,185 | - | (210) | - | 975 |
| Intangibles | (2,804) | (11,576) | (167) | - | (14,547) |
| Other | 975 | 914 | (1,178) | - | 711 |
| | $ (4,513) | $ (10,740) | $ (1,742) | $ (576) | $ (17,571) |

Income taxes payable includes a provision for uncertain tax positions in the amount of $391 at June 30, 2025 (2024 - $381).

Deferred tax assets include the expected benefit of operating losses from certain wholly owned subsidiaries and are expected to be utilized against future taxable income.

## 20. NON-CONTROLLING INTEREST OBLIGATION

The Non-controlling interest obligation as at June 30, 2025 and 2024 is as follows:

| | **June 30, 2025** | June 30, 2024 |
|---|---|---|
| Non-controlling interest obligation, beginning of year | **$ 16,206** | $ 14,405 |
| Accretion of obligation during the period | **2,026** | 1,801 |
| Non-controlling interest obligation, end of year | **$ 18,232** | $ 16,206 |

## 21. SHARE CAPITAL

| | **June 30, 2025** | June 30, 2024 |
|---|---|---|
| **Number of shares authorized:** | | |
| Voting Class A Common Shares - no par value | **Unlimited** | Unlimited |
| Non-voting Class B Common Shares - no par value | **Unlimited** | Unlimited |
| **Number of shares issued and fully paid:** | | |
| Voting Class A Common Shares | **24,274,320** | 24,274,320 |
| Non-voting Class B Common Shares | **4,194,536** | 4,194,536 |
| | **28,468,856** | 28,468,856 |
| **Stated value** | **$ 14,304** | $ 14,304 |

## 22. ACCUMULATED OTHER COMPREHENSIVE INCOME

| | **June 30, 2025** | June 30, 2024 |
|---|---|---|
| Actuarial gains on pension obligations | **$ 11,124** | $ 11,224 |
| less: income taxes | **(2,750)** | (2,776) |
| Accumulated other comprehensive income | **$ 8,374** | $ 8,448 |

## 23. REVENUE

The Company's revenue consists of the following streams:

| | | 2025 | | 2024 |
|---|---|---|---|---|
| Case goods sales | $ | **212,281** | $ | 198,751 |
| Commissions, net | | **30,591** | | 26,591 |
| Other services | | **3,914** | | 4,317 |
| | $ | **246,786** | $ | 229,659 |

Commissions for the year are shown net of amortization of long-term representation rights of $10,371 (2024 - $10,371). Other services include revenues incidental to the manufacture of case goods, such as logistics fees and miscellaneous bulk whisky sales.

## 24. OTHER INCOME

The Company's other income consists of the following amounts:

| | | 2025 | | 2024 |
|---|---|---|---|---|
| Foreign exchange gain (loss) | $ | **91** | $ | (124) |
| Loss on disposal of property and equipment | | **(25)** | | (39) |
| Licensing fees | | **219** | | 589 |
| Other | | **(118)** | | (249) |
| | $ | **167** | $ | 177 |

## 25. NET FINANCIAL INCOME AND EXPENSE

The Company's financial income (expense) consists of the following amounts:

| | | 2025 | | 2024 [1] |
|---|---|---|---|---|
| Interest income on deposits in cash management pools | $ | **949** | $ | 1,153 |
| Other interest income | | **46** | | 120 |
| Interest expense on bank indebtedness, loans and lease liabilities | | **(6,685)** | | (6,903) |
| Accretion of non-controlling interest obligation | | **(2,026)** | | (1,801) |
| Net financial impact of pensions | | **(150)** | | (226) |
| Other interest expense | | **(155)** | | (183) |
| | $ | **(8,021)** | $ | (7,840) |

[1] Certain comparative information has been reclassified to conform to the current year's presentation.

## 26. EARNINGS PER SHARE

The following table sets forth the numerator and denominator utilized in the computation of basic and diluted earnings per share:

| | | 2025 | | 2024 |
|---|---|---|---|---|
| Numerator: | | | | |
| Net earnings | $ | **27,427** | $ | 23,909 |
| Denominator: | | | | |
| Weighted average shares outstanding | | **28,468,856** | | 28,468,856 |

There are no potentially dilutive shares as at June 30, 2025 and 2024.

## 27. EXPENSES BY NATURE

Earnings from operations include depreciation and amortization, as well as personnel expenses, as follows:

| | | **2025** | | 2024 |
|---|---|---|---|---|
| Depreciation of property and equipment | **$** | **3,245** | $ | 2,914 |
| Depreciation of right-of-use assets | | **1,966** | | 1,472 |
| Amortization of intangible assets | | **11,067** | | 11,057 |
| Salary and payroll costs | | **36,664** | | 33,990 |
| Expenses related to pensions and benefits | | **588** | | 716 |

## 28. RESTRICTED SHARE UNITS PLAN

| | **2025** | | | 2024 | | |
|---|---|---|---|---|---|---|
| | Restricted Share Units | | Weighted Average Fair Value | Restricted Share Units | | Weighted Average Fair Value |
| Non-vested, beginning of year | **68,080** | **$** | **12.97** | 68,354 | $ | 14.02 |
| Granted | **31,648** | | **12.55** | 28,983 | | 13.49 |
| Reinvested dividend equivalent units | **5,279** | | **13.50** | 4,508 | | 13.42 |
| Performance adjustments | **(370)** | | **12.97** | (5,331) | | 14.20 |
| Vested | **(19,097)** | | **12.42** | (28,434) | | 12.90 |
| Non-vested, end of year | **85,540** | **$** | **14.07** | 68,080 | $ | 12.97 |

Compensation expense related to this plan for the year ended June 30, 2025 was $401 (2024 - $242).

## 29. NET CHANGE IN NON-CASH WORKING CAPITAL BALANCES

| | | **2025** | | 2024 |
|---|---|---|---|---|
| Accounts receivable | **$** | **(6,456)** | $ | 3,708 |
| Inventories | | **(6,340)** | | 3,722 |
| Prepaid expenses | | **487** | | 206 |
| Accounts payable and accrued liabilities | | **6,583** | | (14,766) |
| | **$** | **(5,726)** | $ | (7,130) |

## 30. DIVIDENDS

On August 20, 2025 subsequent to the year ended June 30, 2025, the Board of Directors declared its regular quarterly dividend of $0.23 per common share, to be paid on September 26, 2025, to shareholders of record as at the close of business on September 10, 2025.

## 31. RELATED PARTY TRANSACTIONS

***Transactions with parent, ultimate parent, and affiliates***

The majority of Corby's issued and outstanding Voting Class A shares are owned by HWSL. HWSL is a wholly-owned subsidiary of PR. Therefore, HWSL is Corby's parent and PR is Corby's ultimate parent. Affiliated companies are subsidiaries, which are controlled by Corby's parent and/or ultimate parent.

Corby engages in a significant number of transactions with its parent company, its ultimate parent and various affiliates. Specifically, Corby renders services to its parent company, its ultimate parent, and affiliates for the marketing and sale of beverage alcohol products in the Canadian market. Furthermore, Corby outsources the large majority of its distilling, maturing, storing, blending, bottling and related production activities to its parent company, HWSL. A significant portion of Corby's bookkeeping, recordkeeping services, data processing and other administrative services are also outsourced to its parent company, HWSL. Significant transactions with the parent company, ultimate parent and affiliates are subject to Corby's related party transaction policy, which requires such transactions to undergo an extensive review and require approval from an Independent Committee of the Board of Directors.

The companies operate under the terms of agreements that initially became effective on September 29, 2006 (the "2006 Agreements"). These agreements provide the Company with the exclusive right to represent PR's brands in the Canadian market, as well as providing for the continuing production of certain Corby brands by PR at its production facility in Windsor, Ontario. Certain officers of Corby have been appointed as directors and officers of PR's North American entities, as approved by Corby's Board of Directors.

The 2006 Agreements have been amended and renewed, as follows:

- On August 26, 2015, Corby entered into an agreement with PR and certain affiliates amending the September 29, 2006 Canadian representation agreements, pursuant to which Corby agreed to provide more specialized marketing, advertising and promotion services for the PR and affiliate brands under the applicable representation agreements in consideration of an increase to the rate of commission payable to Corby by such entities.
- On November 11, 2015, Corby and PR entered into agreements for the continued production and bottling of Corby`s owned-brands by PR at the HWSL production facility in Windsor, Ontario, for a 10-year term commencing September 30, 2016. On the same date, Corby and PR entered into an administrative services agreement, under which Corby agreed to continue to manage certain of PR's business interests in Canada, with a similar term and commencement date. Corby's role managing the HWSL production facility ended on June 30, 2020 but the rest of the services contemplated by the administrative services agreement continue to be provided and are governed by that agreement.

On September 24, 2020, Corby renewed its exclusive right to represent PR's brands in Canada for a further five years and three months, effective July 1, 2021 until September 29, 2026, with a potential for automatic renewal for a further three years thereafter, subject to the achievement of performance criteria ("The 2021 Agreement"). This new representation agreement also renewed Corby's exclusive right to represent ABSOLUT vodka in Canada. Those rights were originally granted in an agreement entered into on September 26, 2008 for a five-year term, which was extended to September 29, 2021 (consistent with the brands subject to the 2006 Agreements) by way of an agreement dated November 9, 2011 and amended on September 30, 2013. The end of the term of the new Canadian representation agreement aligns with those of existing production and administrative services agreements with PR, renewed in 2016.The 2021 Agreement required a payment of an up-front fee of $54.5 million which was paid September 28, 2021, which Corby funded through its deposits in cash management pools. Since the 2021 Agreement is a related party transaction, the agreement was approved by the Independent Committee of the Corby Board of Directors, in accordance with Corby's related party transaction policy.

On June 12, 2023, Corby entered into a loan agreement with PR with a total available credit amount of $120,000, of which the full amount of credit available under the term loan agreement was utilized as of June 30, 2024. The loan provided Corby with the required funding to complete the ABG acquisition which closed on July 4, 2023. The loan bears interest at a fixed rate of 5.43% per annum and matures June 20, 2033. Interest is payable on a quarterly basis. The term loan along with any accrued interest is due in full at the maturity date, June 20, 2033, with Corby provided the option to voluntarily make partial or total repayment at any time before the maturity date. The loan agreement is on arm's-length terms at market rates and, as a related party transaction, was approved by Corby's Independent Committee of the Board of Directors, with external financial and legal advice.

PR also represents certain Corby-owned brands in the United Kingdom. On March 21, 2016, the Company entered into an agreement with Pernod Ricard UK Ltd. ("PRUK"), an affiliated company, which provides PRUK the exclusive right to represent Lamb's rum in Great Britain effective July 1, 2016. On March 28, 2019 the agreement was amended to include Ungava Gin. The agreement was amended again on March 21, 2021 to modify the list of products represented by PRUK and to extend the term of the agreement for a five-year period ending June 30, 2026.

On July 17, 2024, PR announced the sale of its international strategic wine brands to Australian Wine Holdco Limited, which closed effective on April 30, 2025. The transaction includes the sale of a wide portfolio of international wine brands owned and produced by Pernod Ricard Winemakers from three origins including Jacob's Creek® from Australia; Stoneleigh®, Brancott Estate® from New Zealand; and Campo Viejo® from Spain. Corby will continue to represent these brands during a transition period until August 31, 2025 under the same terms of the PR Representation agreement. The affected brands contributed $4,250 to Net Earnings during the year ended June 30, 2025 (2024 - $2,933).

Transactions between Corby and its parent, ultimate parent and affiliates during the year are as follows:

| | | **2025** | | 2024 |
|---|---|---|---|---|
| **Sales to related parties** | | | | |
| Commissions - parent, ultimate parent and affiliated companies | **$** | **40,463** | $ | 36,561 |
| Products for resale at an export level - affiliated companies | | **11,410** | | 13,097 |
| Bulk spirits - parent | | **-** | | 18 |
| | **$** | **51,873** | $ | 49,676 |
| **Cost of goods sold, purchased from related parties** | | | | |
| Distilling, blending, and production services - parent | **$** | **27,840** | $ | 26,927 |
| **Administrative services purchased from related parties** | | | | |
| Marketing, sales and administraton services - parent, ultimate parent and affiliated companies | **$** | **4,682** | $ | 3,678 |

Balances outstanding with related parties are due within 60 days, are to be settled in cash and are unsecured.

During the year ended June 30, 2025, the Company paid interest of $5,981 (2024 - $5,993) on its long-term debt payable to PR.

During the year ended June 30, 2024, Corby entered into a transaction with its parent whereby Corby exchanged certain vintages and varieties of bulk whiskey inventory with a fair value of $1,803 for differing vintage and varieties of bulk whisky with an equivalent fair value in an effort to balance each companies' future inventory requirements. The exchange was not a culmination of the earnings process and as such did not impact Corby's net earnings nor its financial position. This transaction did not reoccur during the 2025 fiscal year.

***Deposits in cash management pools***

Corby participates in a cash pooling arrangement under the Mirror Netting Service Agreement together with PR's other Canadian affiliates, the terms of which are administered by Citibank N.A. The Mirror Netting Service Agreement acts to aggregate each participant's net cash balance for the purposes of having a centralized cash management function for all of PR's Canadian affiliates, including Corby.

As a result of Corby's participation in this agreement, Corby's credit risk associated with its deposits in cash management pools is contingent upon PR's credit rating. PR's credit rating as at August 20, 2025, as published by Standard & Poor's and Moody's, was BBB+ and Baa1, respectively. PR compensates Corby for the benefit it receives from having the Company participate in the Mirror Netting Service Agreement by paying interest to Corby based upon the 30-day CORRA rate plus 0.75%. Prior year interest was calculated using the 30-day Canadian Dealer Offered Rate ("CDOR") plus 0.40%. During the year ended June 30, 2025, Corby earned interest income of $949 from PR (2024 – $1,153). Corby has the right to terminate its participation in the Mirror Netting Services Agreement at any time, subject to five days' written notice.

***Key management personnel***

Key management personnel are those individuals having authority and responsibility for planning, directing and controlling the activities of the Company, including members of the Company's Board of Directors. The Company considers key management to be the members of the Board of Directors and the senior management team (which includes the CEO, CFO and Vice-Presidents).

Certain key management personnel also participate in the company's RSU plan.

Key management personnel compensation comprises:

| | | 2025 | | 2024 |
|---|---|---|---|---|
| Wages, salaries and short term employee benefits | **$** | **4,055** | $ | 3,728 |
| Other long-term benefits | | **306** | | 259 |
| Share-based payment transactions | | **315** | | 313 |
| | **$** | **4,676** | $ | 4,300 |

Certain members of the Board of Directors and key management personnel are provided benefits and/or salary and wages through the parent company or the ultimate parent company in addition to the amounts reported above.

## 32. SEGMENT INFORMATION

Corby has two reportable operating segments: Case Goods and Commissions. Corby's Case Goods segment derives its revenue from the production and distribution of its owned beverage alcohol brands. Corby's portfolio of owned-brands includes some of the most renowned and respected brands in Canada, such as J. P. Wiser's Canadian whisky, Lamb's rum, Polar Ice vodka, McGuinness liqueurs, and Cottage Springs and Nude RTD beverages.

Corby's Commissions segment earns commission income from the representation of non-owned beverage alcohol brands in Canada. Corby represents leading international brands such as ABSOLUT vodka, Chivas Regal, The Glenlivet and Ballantine's scotches, Jameson Irish whiskey, Beefeater gin, Malibu rum, Kahlúa liqueur, Mumm champagne, and Jacob's Creek and Wyndham Estate wines.

The Commissions segment's financial results are fully reported as "Commissions" in Note 23 of the consolidated financial statements. Commission revenue is reported net of the amortization of the Long-term Representation Rights which are included in Intangible assets. Amortization for the year ended June 30, 2025 was $10,371 (2024 – $10,371). Therefore, a table detailing operational results by segment has not been provided as no additional meaningful information would result.

Geographic information regarding the Company is as follows:

| | | | | | | | | | | **2025** |
|---|---|---|---|---|---|---|---|---|---|---|
| | | Canada | | United States of America | | United Kingdom | | Rest of World | | Total |
| Revenue | **$** | **231,628** | **$** | **2,053** | **$** | **7,440** | **$** | **5,665** | **$** | **246,786** |
| Property, plant and equipment | | **20,867** | | **-** | | **-** | | **-** | | **20,867** |
| Goodwill and intangible assets | | **183,931** | | **-** | | **13,126** | | **-** | | **197,057** |

| | | | | | | | | | | 2024 |
|---|---|---|---|---|---|---|---|---|---|---|
| | | Canada | | United States of America | | United Kingdom | | Rest of World | | Total |
| Revenue | $ | 211,985 | $ | 3,193 | $ | 7,524 | $ | 6,957 | $ | 229,659 |
| Property, plant and equipment | | 21,810 | | - | | 98 | | - | | 21,908 |
| Goodwill and intangible assets | | 195,177 | | - | | 13,126 | | - | | 208,303 |

In 2025, revenue to three major customers accounted for 47%, 10% and 10%, respectively (2024 – 54%, 11% and 10%). These major customers are located in Canada and revenues are derived from the Case Goods segment.

## 33. CONTINGENCY

During November 2023, the Liquor Control Board of Ontario ("LCBO"), one of Corby's customers, advised suppliers that it will be enforcing a pricing term included in its standard purchase terms and conditions that requires suppliers to ensure prices sold to the LCBO are the same or lower than prices sold to any other customer in

Canada, which is in contradiction to other pricing policies imposed by the LCBO, particularly “minimum pricing” that increased minimum retail prices every year prior to the elimination of such policy in April 2025. The LCBO levied penalties on suppliers for sales beginning April 2023. For the fiscal year ended June 30, 2024 Corby recorded expected penalties related to the period April 2023 through June 30, 2024, of which $1,104 remains accrued and included in accounts payable and accrued liabilities at June 30, 2025. In addition, the LCBO threatened to calculate penalties on sales not in compliance for the period before April 2023. Corby cannot quantify the potential charge and no provision has been recorded in these financial statements for any exposure before April 2023. Corby believes a retroactive charge back of this nature would not be enforceable. Corby, together with a collective of spirits suppliers representing almost 70% of the spirits products sold in Ontario, filed a court application with the Ontario Superior Court of Justice for court orders declaring that the LCBO’s pricing term is of no force and effect or, alternatively, cannot be enforced retroactively, and that the LCBO must release any amounts set off based on its enforcement. The matter was heard by the Commercial List court in June 2025 with a decision anticipated during fiscal year 2026.